



Central Bank
of Armenia

2025 Q4

Monetary Policy Report

Monetary Policy Program

Published December 16, 2025

Contents

01.	Executive Summary	3
	a. Executive Monetary Policy Statement	
	b. Assessment of Economic Conditions & Underlying Forces	
02.	Monetary Policy Objectives and Framework	8
	a. Statement of Long-Run Monetary Policy Objectives	
	b. Framework for Monetary Policy as Risk Management	
03.	Monetary Policy Outlook	12
	a. Global Economy	
	b. Domestic Demand Conditions	
	c. Labor Market & Inflation	
	d. Financial Markets	
	e. Taxonomy of Scenarios	
	f. Monetary Policy Outlook	

In addition to the Monetary Policy Report, the CBA concurrently publishes additional materials on its website, which the reader is encouraged to reference. These include the [MPR Chart Pack](#) (containing statistical charts and tables for global and domestic economic developments as well as the illustrative scenario projections) and the [Transparency Report](#) (providing transparency into how the Board of the CBA arrived at its decision).

DISCLAIMER The data presented in this report is current as of December 12, 2025.

01 |

Executive Summary

A. Executive Monetary Policy Statement

The Board of the CBA decided today to decrease the policy rate to 6.50%.

At its meeting today, the Board of the Central Bank of Armenia decided to decrease the key policy rate (refinancing rate) by 25 basis points, setting it at 6.50%.

Annual CPI inflation decreased in Q4 2025, standing at 3.1% in November. Meanwhile, core inflation edged up, standing at 3.8% Y-o-Y in November.

In Q4 2025, risks of a further slowdown in demand conditions globally and in Armenia's key partner economies persist, while inflationary pressures in the US have intensified. Consumption in the US continues to drive relatively high economic growth and an elevated inflationary environment. However, risks of a correction in asset prices and labor market weakening could negatively impact the medium-term growth outlook. Uncertainty regarding the medium-term implications of US fiscal policy, including the impact of rising public debt on long-term interest rates, persists. At the same time, in Armenia's other trading partner economies, risks of weakening growth and demand conditions persist, even as some uptick has been observed in recent months. Oil prices, and in recent months food prices as well, have declined. However, geopolitical uncertainty and tensions in international trade relations remain a key source of global inflation volatility. In this context, considering weakening demand conditions on the one hand and persistent inflationary risks on the other, central banks in major economies would be expected to either maintain or gradually ease their tight monetary stance.

In the fourth quarter of 2025, economic activity in Armenia continued to remain high. Growth continues to be driven by the construction and services sectors as well as the impacts of certain short-term, non-structural growth drivers. External demand for domestic goods and services has remained high in Q3 and Q4. At the same time, uncertainty remains elevated regarding the future outlook for domestic demand. In this context, demand continues to have a neutral impact on inflation, while recent increases in headline and core inflation have been driven by supply-side factors. Wage growth, non-traded sticky price inflation, and inflation expectations continue to stabilize. At the same time, risks for short- and medium-term demand pressures from fiscal policy have weakened.

In the context of current macroeconomic developments, financial markets in Armenia generally expect the Central Bank of Armenia to gradually lower the refinancing rate over the next twelve months to approximately 6.25%.

Amid high uncertainty, the Board discussed, on the one hand, Case A-type scenarios where possible underlying developments would require a higher path for the policy rate relative to current market expectations. This includes scenarios related to risks of a rising US neutral rate in the context of fiscal policies, as well as risks of expanding demand conditions. On the other hand, the Board also discussed Case B-type scenarios where potential economic developments imply a more rapid and aggressive downward path for the policy rate than what is currently priced in markets. These scenarios include concerns regarding overall concerns about a weakening growth outlook in key trading partner economies, risks of softening domestic demand conditions, as well as a weak demand environment forming and deepening in the economy due to a potential gradual adjustment of real estate prices.

Balancing the aforementioned risks in both directions, the Board finds it appropriate to decrease the policy rate in line with market expectations.

The Board resolutely affirms its commitment to adopting the appropriate policy actions and strategy to ensure the price stability objective of 3% inflation in the medium term.

Approved by the Board of the Central Bank of Armenia
December 16, 2025

Governor
Martin Galstyan

Deputy Governor
Hovhannes Khachatryan

Board Members
Davit Nahapetyan
Artak Manukyan
Levon Sahakyan
Narek Ghazaryan
Armen Ktoyan

B. Summary of Economic Conditions

Global Economy

In Q4 2025, the global growth outlook has continued to deteriorate. Following volatility in US GDP growth amid trade policy uncertainty in H1, growth rebounded strongly in Q3 (estimated 3.6% Y-o-Y), primarily reflecting growth in consumption increased investment activity in artificial intelligence. Growth in financial asset prices and wages continue to support consumption among high-income and high net worth households, while slowing wage growth for middle- and low-income earners as well as rising loan delinquency rates points to slowing demand in the rest of the economy. Considering both the drivers of growth and the structural characteristics of consumption, price corrections in financial assets could have negative impacts on US demand conditions, with global spillover effects.

Amid these conditions, US fiscal policy remains a key source of uncertainty. Given the significant expected expansion of the fiscal deficit and national debt, risks of a potential rise in long-term interest rates have deepened. Such developments could impact not only the future course of the Federal Reserve's monetary policy but also impact the neutral interest rate in, and capital flows to, emerging markets.

Inflation in the US has continued to rise in recent months, standing at 3.0% in September, largely reflecting the gradual transmission of tariff policy onto consumer prices. Although trade policy uncertainty has softened somewhat in recent months, looking ahead, the extent and nature of further impacts of trade policy on inflation would depend on the trajectory of domestic demand conditions. At the same time, while slowing wage growth and payrolls could point to softening labor market conditions, relatively stable unemployment and layoff levels are not indicative of a sharp slowdown of aggregate demand conditions. These issues significantly complicate the Federal Reserve's trade-off between maintaining price stability and achieving full employment, a challenge that is further compounded by potential risks of deteriorating central bank independence.

Euro Area economic growth has slowed in Q3 to 1.4% Y-o-Y, reflecting sustained structural challenges, even as exports have increased Q-o-Q amid some easing in global trade policy uncertainty. The inflationary environment continued to stabilize, with headline inflation converging around the target for several consecutive months. Meanwhile, although underlying inflation has moderated, services inflation still remains elevated, while tight labor market conditions exhibit mixed signals of softening. However, the medium and long-term growth outlook remains uncertain and problematic. On the one hand, structural challenges within the Eurozone and trade uncertainty continue to weigh on business sentiment and negatively impact investment and production. On the other hand, sweeping fiscal stimulus measures aimed at addressing structural challenges could have positive impacts

on certain productive sectors, but the emphasis on increasing defense output could have uneven and inflationary implications.

Uncertainty persists surrounding the trajectory of oil prices. On the one hand, sustained high production, along with weakening global demand, may reinforce downward price pressures. On the other hand, the potential escalation of geopolitical tensions in and around major oil producing countries could drive short-term increases in prices. Similarly, the risk of secondary sanctions against Russia could pose upward pressure through potential supply chain disruptions.

In Q3 2025, Russia's economic growth continued to weaken significantly to 0.6% Y-o-Y. At the same time, economic activity ticked up in October, particularly in retail trade and services, suggesting some recovery in consumption and demand conditions. Slowing credit activity and growth in non-performing loans could point to greater weakening in demand conditions. While various indicators of inflation have slowed somewhat in recent months, they nonetheless remain considerably above target. At the same time, labor market conditions remain exceedingly tight, exerting sustained inflationary pressures on the economy, while the recent tightening of migration policy could deepen labor market pressures. Further, oil price uncertainty could pose risks to fiscal policy, while tightening tax policies (especially increases to VAT) pose additional downside risks to consumption and domestic demand. The combination of weakening demand conditions on the one hand and persistently tight labor market conditions and high inflation expectations on the other pose serious challenges to the Central Bank of Russia in managing the inflation-output tradeoff.

Domestic Demand Conditions

In Q3 2025, GDP continued to grow at a high rate, standing at 6.2% Y-o-Y. Further, economic activity continued to expand at a strong pace, standing at 10.1% in October. Growth in the third and fourth quarters was concentrated in demand-driven sectors including construction and services, which could pose risks to the future sustainability of growth and the long-term outlook. Construction continues to grow at a rapid pace, but persistent risks of a gradual adjustment in real estate prices could threaten growth in adjacent sectors, contribute to weakening demand conditions, and pose deflationary pressures. At the same time, while IT and Financial Services continue to play an important role in high services growth, signs of acceleration in other services subsectors, especially in recent months, could point to a potential expansion in aggregate demand conditions. Since the beginning of the year, trade continued to slow amid a gradual fading of certain short-term, non-structural factors. In the past two quarters, industrial sector growth has slightly recovered, primarily

reflecting high growth in traditional manufacturing subsectors. Further, strong growth in these subsectors' exports, lending activity, and production capacity could support a positive outlook for manufacturing.

Tourism flows to Armenia had increased substantially since May, driven partly by some shifts in source markets. Keeping with seasonal trends, tourism flows have softened since September. At the same time, external demand for Armenian goods and services remains elevated. In the medium term, significant uncertainty regarding the outlook for external demand persists in both directions, driven by a weak demand outlook globally and in Russia on the one hand, as well as strong demand for Armenian goods and services and questions about the persistence of structural shifts in tourism on the other.

Uncertainties remain elevated about seasonal migration to Russia and the channels through which remittances are transferred. On the one hand, a persistently strong ruble could increase incentives for labor migration to Russia. On the other hand, an uncertain Russian economic outlook and tightening migration policies may act as limiting factors. The latter scenario could support labor supply growth in Armenia and pose deflationary risks.

In summary, various signals point to a slightly positive output gap in Q4. Nonetheless, the structural characteristics of growth, uneven developments in other sectors of the economy, and mixed signals from other indicators add uncertainty to assessments of the relative position of aggregate demand and aggregate supply. On the one hand, strong growth in lending activity, high private consumption, and the concentration of growth in demand-driven sectors could point to robust domestic demand. Conversely, the concentration of economic growth in a few sectors; the persistence of both non-traded sticky price and services inflation at low levels; as well as relatively flat retail trade and consumer goods imports, could point to a weaker demand environment.

Regarding fiscal policy, revenue collection in 2025 has been strong, while risks of current and capital expenditure over-execution have softened. Through October, the fiscal deficit has been significantly below planned levels, although a full execution of the planned deficit in the fourth quarter could generate some inflationary pressures. Nonetheless, considering both current YTD performance and the planned fiscal consolidation beginning in 2026, risks of fiscal policy generating meaningful pressures on aggregate demand conditions have softened. Looking ahead, considering uncertainty around future expenditure performance and tax revenue administration, the main uncertainties for fiscal policy relate to the trajectory for the public deficit and debt, with implications on the country risk premium.

Labor Market & Inflation

Underlying labor market conditions remain a key source of uncertainty. Unemployment remains at low levels, standing at 12.3% in Q2. Per the labor market survey, labor resources in Q2 have increased Y-o-Y, but this has been at the expense of increases in the economically inactive population rather than employed persons. This could reflect weakening labor demand in the economy. At the same time, SRC data suggesting strong increases in the number of registered employees could point to high labor demand, although it also could reflect a gradual, structural decline in the shadow labor market in favor of formal employment. Developments in wage growth also leave room for conflicting interpretations. On the one hand, slowing headline wage growth in Q3 (4.3% Y-o-Y) could point to weakening domestic demand. However, slowing wage growth primarily reflects weakening in IT and financial sector wages, while wages in other sectors have increased somewhat to 6.7% Y-o-Y in Q3. This could point to more stable demand conditions in the economy. In the medium and long term, a potential expansion in labor supply could ease labor market conditions further and reduce market-driven pressures. The primary uncertainties in this context relate to the Russian economic outlook, the flow of Armenian labor migrants to Russia amid tightening Russian migration policies, domestic labor market participation, and the integration of economically inactive populations into the workforce.

Throughout 2025, inflation has shown some signs of accelerating, primarily reflecting both increased inflationary pressures from the global economy (particularly for imported food) amid elevated supply issues as well as above-historical-average inflation for several seasonal goods. However, these factors have meaningfully softened in November, with CPI declining to 3.1% Y-o-Y. Moving forward, the main uncertainties relate to whether these trends will persist, as well as the scale and pace of domestic price adjustments. In recent months, increases have been observed in specific product groups (especially dairy, with inflation of 5.8% Y-o-Y) amid the imposition of mandates for QR codes. However, inflation in these product groups exceeds the costs associated with the QR code mandates, which suggests that these price increases are also due to other factors, including increased operational costs, adjustments to price-setting behaviors, and others. Additionally, the deflationary pressures from non-food products observed in the beginning of the year have gradually subsided, entering weak inflationary territory in May and standing at 1.2% Y-o-Y in November. Services inflation has increased somewhat since early 2025, mainly due to high inflation for air transport services; excluding this subgroup, services inflation has remained stable and below target. Non-Traded Sticky Price Inflation (NTSPI), which captures domestically-driven demand dynamics, has continued to remain stable, in the range of 2.0- 2.5% Y-o-Y.

Financial Markets & Monetary Policy

Market expectations of the CBA policy rate path have remained largely unchanged since the latest decisions, and continue to reflect an expected gradual reduction in the policy rate to 6.25% over the next year. The yield curve has declined since October across all maturities. This could reflect:

- improving sentiment toward emerging market bonds, as well as well as country-specific factors that could point to a downward reassessment of the country risk premium,
- the gradual impact of long-term, structural factors, including declining inflation expectations amid a reduction in the inflation target at the beginning of the year, fiscal consolidation, expectations of greater real exchange rate trend appreciation amid growing capacities and productivity in exportable sectors;
- the gradual transmission of monetary policy; and/or
- non-structural factors, including, for example, increased AMD liquidity in domestic financial markets.

In recent months, Armenia's country risk premium has continued to decline, reflecting both global and country-specific factors. Sentiment towards emerging markets has continued to improve amid declining fiscal and trade uncertainty and macroeconomic reforms. Even though declines in Armenia's risk premium have generally followed global trends in EME spreads, additional declines in recent months in particular reflect country-specific developments, including expectations of weakening geopolitical tensions in the South Caucasus. Looking ahead, the key uncertainty relates to whether improving sentiment toward EMEs is driven by fundamental versus transitory factors. This, in turn, raises questions about the fundamental level of the country risk premium and neutral rate.

Considering the persistence of numerous types of uncertainty, the CBA builds and evaluates several different scenarios for future economic developments in order to manage possible risks stemming from these key areas of uncertainty. The illustrative Case A scenario presented in the MPR (policy rate path above market expectations) interprets recent economic developments—persistent above-potential, demand-driven economic growth—as indicative of an already positive output gap in the economy. If this scenario were to materialize, the policy rate would need to adopt a higher path relative to market expectations in order to prevent the expansion of inflation and de-anchoring of inflation expectations. The illustrative Case B scenario (policy rate path below market expectations), on the other hand, offers a different interpretation of the current position of the economy. In this scenario, persistently low services and non-traded sticky price inflation, weak retail trade and declining consumption goods imports, as well as the structure of growth are taken to indicate weak demand conditions and an existing negative output gap. Such a scenario would require a looser medium-term policy stance compared to market expectations in order to prevent the accumulation of deflationary pressures and a possible downward de-anchoring of inflation expectations.

As part of its prudent risk management framework for monetary policy, the CBA builds and discusses various scenarios, summarized in the Taxonomy of Scenarios. These scenarios reflect key sources of risk and uncertainty that could lead to unwelcome policy errors (that might drive the economy into "dark corners"), which policymakers hope to minimize through a least-regrets decision-making model. For communications purposes, the MPR includes a deeper dive into two illustrative scenarios almost randomly selected from the Taxonomy, which reflect illustrative future paths of the economy that would require either a higher path for the policy rate (Case A) or a lower path of the policy rate (Case B) relative to current market expectations. These illustrative scenarios do not represent a most-likely future, assign weight or probability to outcomes, or reflect the Board's most-favored scenarios.

02 |

Monetary Policy Objectives & Framework

Statement of Long-Run Monetary Policy Objectives

Adopted effective March 18, 2025

As enshrined in “The Law of the Republic of Armenia on the Central Bank of Armenia,” the primary objectives of the Central Bank of Armenia are to ensure price stability and financial stability. The Board of the CBA is committed to using its full suite of monetary policy instruments to achieve its price stability mandate and provide a nominal anchor for the economy.

We emphasize that the primary objectives of price stability and financial stability are a means to an end. The ultimate purpose of the CBA as an accountable public-sector institution is improving the welfare of our nation. A commitment to achieving low and stable inflation provides a credible nominal anchor for the economy and thereby anchors inflation expectations, helps to avoid inefficient boom-bust cycles, stimulates investment, supports the economic development of the country, and improves living standards over time.

The CBA develops and implements monetary policy to achieve its price stability objective. The fundamental role of monetary policy is to provide an anchor for inflation and inflation expectations. The Board believes that a three percent inflation target is consistent with its price stability mandate. The inflation target is expressed in terms of the Consumer Price Index (CPI), since it is the best measure of the cost of living and final consumption expenditures, and is the primary reference point for market participants when making planning decisions and setting contracts. Nevertheless, the overall CPI basket of goods and services includes several items that are subject to seasonal fluctuations and global economic developments, which are not directly influenced by monetary policy. We therefore consider alternative measures of inflation, such as core and non-traded sticky prices, which can provide useful information on the underlying inflationary environment.

The CBA’s primary means of adjusting the stance and path of monetary policy is through changes in the expected path of short-term interest rates. If interest rates were to be constrained by the effective lower bound, the Bank would be prepared to use its full range of policy tools.

While emphasizing the primacy of achieving the price stability and financial stability mandates over the medium term, the CBA recognizes that it is also responsible for managing the short-run tradeoff between inflation and output. In an open market economy, periodic economic and financial shocks cause economic activity and inflation to fluctuate over time. In this context, the CBA does not target CPI inflation on a period-by-period basis and does not attempt to bring CPI inflation back to the target in the short term if it would result in undue economic and financial instability. In any economic situation, the CBA seeks to develop and implement monetary policy in a manner that brings inflation to the target in the medium-term (12 quarter) horizon, while minimizing associated social costs through a “least regrets” approach.

Effective monetary policy improves welfare by anchoring long-term inflation expectations and reducing the volatility of output and unemployment. Avoiding excessive volatility in the economy can result in substantial improvements in welfare by reducing average levels of unemployment and raising the productive capacity of the Armenian economy. The Bank emphasizes that placing weight on other near-term objectives must not be inconsistent with its primary responsibilities of achieving its three percent target in the medium term and maintaining price and financial stability.

The Board places great emphasis on the importance of communicating its policy and decision-making framework to the public in a clear and comprehensible manner. Clear and effective communication helps make policy more effective, and encourages financial markets, businesses, and the general public to better understand and manage risks and uncertainties. Moreover, this communications approach plays an important role in enhancing the transparency of monetary policy and central bank accountability, which is a key priority for the CBA as an independent public sector institution.

The Board will review and renew the Statement of Long-Run Monetary Policy Objectives during the first decision-making round of each year.

Framework for Monetary Policy as Risk Management

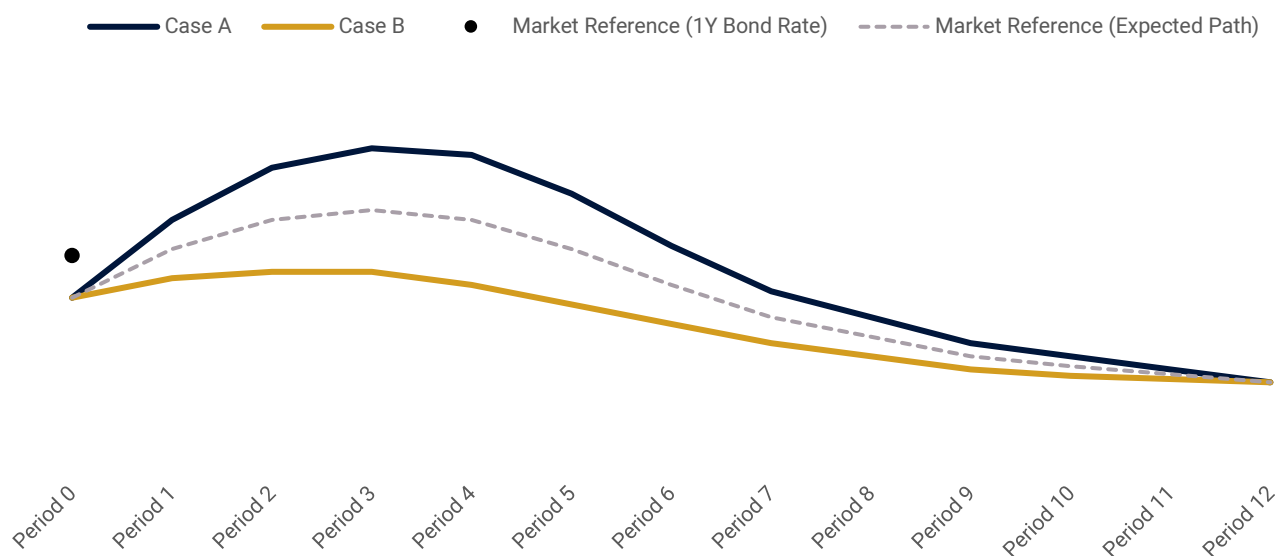
The CBA conducts monetary policy within a risk management framework to analyze and communicate the uncertainty surrounding the economic outlook more effectively. Our approach is to consider alternative scenarios for the evolution of the Armenian economy that have important implications for monetary policy. Elevated uncertainty is a reality that central banks must manage, and we do this by explicitly incorporating it into our framework and communication. We develop and analyze multiple scenarios that would imply a higher or lower path for interest rates than is currently priced in financial markets. At the same time, to steer the policy discussion and communication, we develop two or more illustrative scenarios. These scenarios should not be interpreted as pure risk scenarios, but are meant to represent plausible paths for the policy rate that could be consistent with managing monetary policy risks and concerns in an individual's economic scenario.

Market Reference is the expected path of the policy rate that is currently priced in financial markets. Ideally, if financial markets in Armenia were more developed, and there existed a derivative market for the policy rate, then we could construct an expected path based solely on market information. We therefore use the 1-year government bond yield, which should reflect the expected average policy rate over the next 12 months, plus some compensation for term premium. In addition, we conduct high-frequency surveys of market participants before, during, and following each decision-making cycle as another reference point for expectations of the policy rate.

Case A reflects a scenario that incorporates economic and financial developments that would require a higher interest rate path than what is currently priced in financial markets that is consistent with guiding the economy back to its long-run equilibrium and to achieve price stability objective.

Case B reflects a scenario that incorporates economic and financial developments that would require a lower interest rate path than what is currently priced in financial markets that is consistent with guiding the economy back to its long-run equilibrium and to achieve price stability objective.

Figure 2.1: Alternative Paths for the Policy Rate



Source: CBA

Note: For Illustrative Purposes Only

To learn more about the Central Bank of Armenia's approach to monetary policy, refer to the book, [Prudent Risk Management Approach to Monetary Policy: Theory and Practice of FPAS Mark II at the Central Bank of Armenia](#), edited by Douglas Laxton, Hayk Avetisyan, and Vahe Avagyan (2025).

Report Structure

The MPR begins with the Executive Summary, which provides the Statement by the Board of the CBA as well as a high-level assessment of economic conditions and underlying forces. The Executive Summary is also issued as a standalone document, known as the Executive Monetary Policy Statement.

Section III presents in greater detail the CBA's implementation of this policymaking framework. It begins with an assessment of the first two ingredients essential for economic analysis: where is the economy now, and what are the underlying forces driving the economy. This section also communicates how the CBA is managing current risks through a framework of "least regrets." This includes a taxonomy of different types of scenarios that may be relevant in the current policy round, reflecting a summary of the universe of major issues the Board and Staff of the CBA, as well as external stakeholders, are concerned about. Against this context, the MPR presents two or more illustrative case scenarios representing what the CBA will do with its policy instruments in order to reach its objectives.

The statistical appendix is published as a separate file, known as the MPR Chart Pack, which contains charts and tables for relevant economic variables, as well as key projections from the illustrative case scenarios.

Importantly, the MPR of the CBA is published on the same day as the policy decision is made by the Board of the CBA. This is intended to provide the public with sufficient detail and narratives that describe the framework and analysis that led to the decision in a near-real-time manner. Following the decision and press conference, a separate Transparency Report is released, containing more detailed information about how the Board came to the specific decision during the Board meeting.

Disclaimer

The information presented in this report is based on actual data available by December 12, 2025 as well as the results of the surveys conducted by the CBA and judgments made pursuant to the information on future developments of the macroeconomic environment.

The Monetary Policy Report serves as the chief monetary policy communications vehicle for the Central Bank of Armenia, and is published on a quarterly basis. The MPR has been designed to be a user-friendly document that covers key policy-relevant issues but remains accessible to technical and non-technical audiences alike. The report is structured to follow a narrative format that helps illustrate the key issues, risks, and uncertainties that drove the Board's thinking in the current decision-making round and how it arrived at its policy decision. Not all data, analysis, or issues can be reasonably included in the MPR in every quarter without overwhelming the reader or overshadowing key messages. For this reason, the MPR is supplemented with a Chart Pack that provides a complete and comprehensive overview of the current and underlying economic environment.

A decision made by the CBA Board today will affect inflation with a lag. The illustrative scenarios are chosen and designed by our Monetary Policy Department's economists to describe plausible paths of the economy under different risks. Importantly, the selected illustrative scenarios are two of many possible scenarios that the Board considers when making its decisions, which are represented in the Taxonomy of Scenarios in Section III. During each policymaking cycle, the Board is engaged in dynamic discussions and information-sharing with the Staff related to understanding the current position of the economy, its underlying drivers, and key sources of policy-relevant risk and uncertainty. These discussions, including the process through which the Taxonomy of Scenarios is developed and the illustrative scenarios are selected and quantified, are an important input for Board deliberations. The Taxonomy of Scenarios and the selected illustrative scenarios are produced four times a year and are a key, but not the only, input to the CBA Board's monetary policy decisions.

All monetary policy reports which have been published to date are available on the CBA's website (www.cba.am), which also contains all press releases, working papers, and other monetary policy-related publications.

03 |

Monetary Policy
Outlook

A. Global Economic Developments

United States Economy

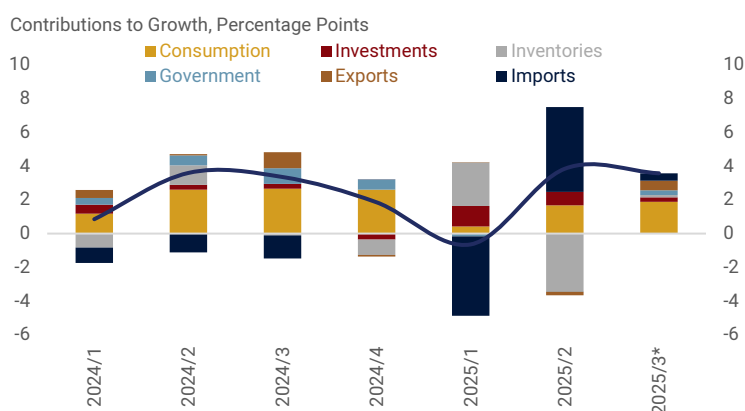
Following volatility in GDP growth in H1 2025 due to swings in imports as trade policies took hold, growth rebounded significantly in Q3. Consumption from high-income households and increased investment activity in artificial intelligence have emerged as the major drivers of recent growth. Elevated financial asset prices continue to drive strong consumption growth for high-income households (with the top 10% of income earners making up nearly half of all consumption activity). Risks of overvalued asset prices amid elevated PE ratios remain a key concern, as a correction in asset prices could impact both consumption and economic activity in the US economy, with implications on global demand conditions. At the same time, income inequality and the structure of growth pose uncertainty to the medium-term growth outlook. Wage growth for low-income households is meaningfully slowing, while delinquency rates for credit card and auto loans continue to grow, suggesting an imbalanced economic story across different economic strata.

Trade policy and strong consumption continue to pose upside risks to inflation. While increases in imports and inventories at the beginning of the year helped shield consumers from increased prices, recent months have seen signs of growing inflationary pressures emerging for consumer goods most sensitive to tariffs. In this context, inflation has accelerated to 3.0% Y-o-Y in September. Looking ahead, the extent and nature of the impacts of trade policy on inflation would depend on the trajectory of domestic demand conditions. Meanwhile, the expected expansion of the fiscal deficit and national debt deepens risks of rising long-term interest rates, with impacts on both the course of US monetary policy and the neutral interest rate in, and capital flows to, emerging markets.

Amid stronger-than-expected demand conditions in the US and the persistence of upside inflationary risks, financial markets have grown somewhat more cautious in their expectations of the pace and scale of future rate cuts. Moreover, while labor market conditions continue to soften, with payrolls rapidly slowing, stable unemployment and layoff levels do not yet point to a rapid weakening of aggregate demand conditions that would warrant sharper rate cuts. These issues significantly complicate the Federal Reserve's trade-off between maintaining price stability and achieving full employment, a challenge that is further compounded by potential risks to central bank independence.

Rebound in growth primarily driven by strong consumption

Figure 3.A.1: Contributions to US Real GDP Growth

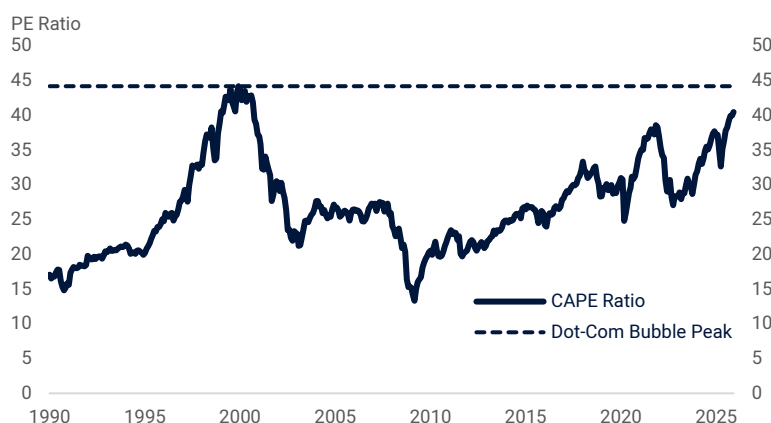


Source: US BEA; Atlanta Fed

Note: 2025 Q3 based on AtlantaFed's December 11, 2025 GDPNow Estimate

Risks of overvalued asset prices threaten the medium-term consumption and growth outlook, with global implications

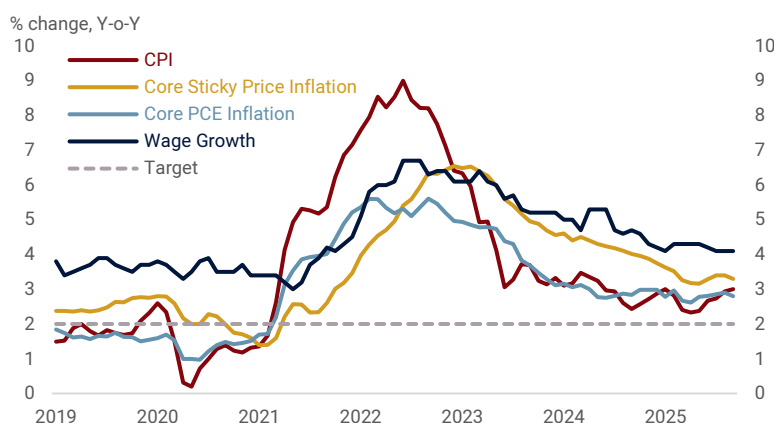
Figure 3.A.2: Cyclically Adjusted PE (CAPE) Ratio



Source: Robert Shiller

Amid resilient demand conditions, trade policy poses serious upside risks to inflation

Figure 3.A.3: Underlying Inflation Measures



Source: Atlanta FED, BLS; BEA

Eurozone Economy

Economic growth in the Euro Area has slowed somewhat in Q3 2025, with Y-o-Y growth at 1.4%, compared to 1.6% in Q2. The sustained slowdown in growth reflects persistent structural headwinds, including subdued domestic demand as well as sectoral challenges and geographical disparities in growth. Income growth continues to surpass growth in consumption, underscoring risks of further declines in demand conditions and overall economic sentiment. Amid a general reduction in global trade policy uncertainty, exports in Q3, particularly to the US, have increased compared to Q2. The key uncertainty on this front relates to whether this growth in exports will prove to be persistence or a one-time phenomenon.

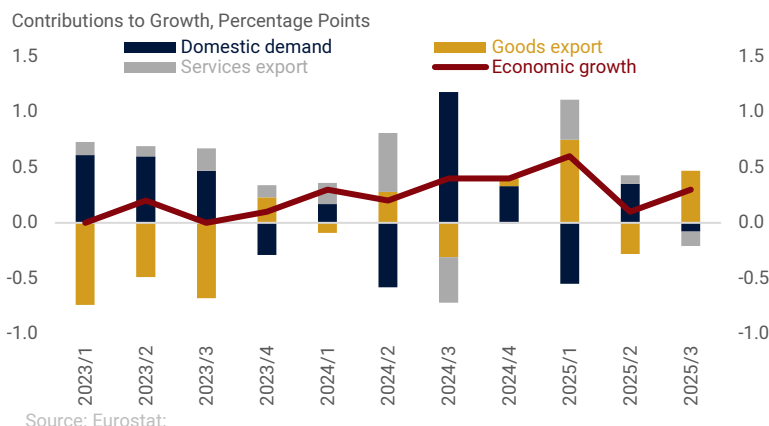
Uncertainty surrounding the medium- and long-term growth outlook remains elevated. Growth is highly fragmented in terms of both geographical and sectoral concentrations. Although the manufacturing sector shows signs of gradual stabilization, the overall momentum remains fragile due to persistent structural challenges. At the same time, Southern European economies (e.g. Spain) have emerged as the main driver of Eurozone growth, while the outlook for traditional, leading economies like Germany continues to worsen, particularly in the industrial sector. In this context, risks are twofold. On the one hand, continuous structural headwinds along with global trade uncertainty continue to weigh on business sentiment and limit growth potential. On the other hand, fiscal stimulus measures aimed at addressing these structural issues are expected to provide targeted support to certain productive sectors, thereby partly offsetting these headwinds. However, the focus on increasing defense production may lead to uneven outcomes and add to inflationary pressures.

The inflationary environment has remained broadly stable but has ticked up recently, with headline inflation rising to 2.2% Y-o-Y in November. This primarily reflects increases in services inflation (up to 3.5% Y-o-Y in November). Labor market conditions offer mixed signals about the underlying state of the economy. While unemployment continues to remain at historically low levels (6.4% in October), wage growth has sharply slowed to 2.0% in October. This could point to a potential softening in labor market conditions, which in turn could contribute to a weakening of overall inflationary conditions, particularly for services.

At its October meeting, the ECB opted to keep policy rates unchanged, communicating that the current policy stance continues to remain appropriate to maintain medium-term price stability. Nevertheless, uncertainty surrounding the policy outlook remains elevated, driven by the need to manage persistent inflationary pressures on the one hand and weakening growth amplified by structural challenges and trade restrictions on the other.

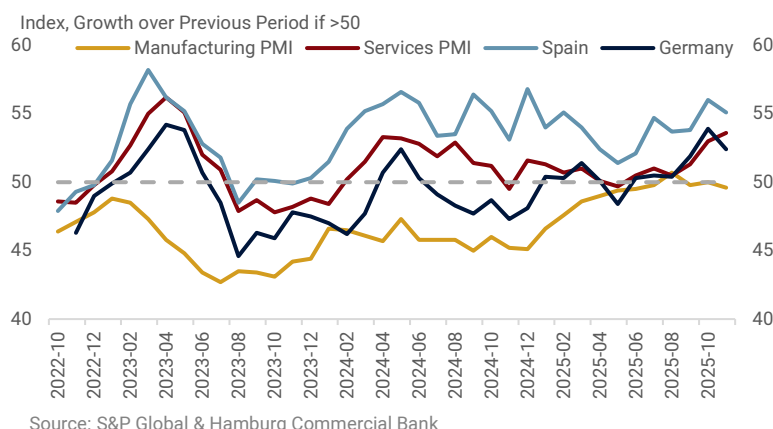
The growth outlook remains clouded by persistent structural challenges as well as sectoral and geographic disparities in growth

Figure 3.A.4: Contributions to Euro Area Real GDP Growth



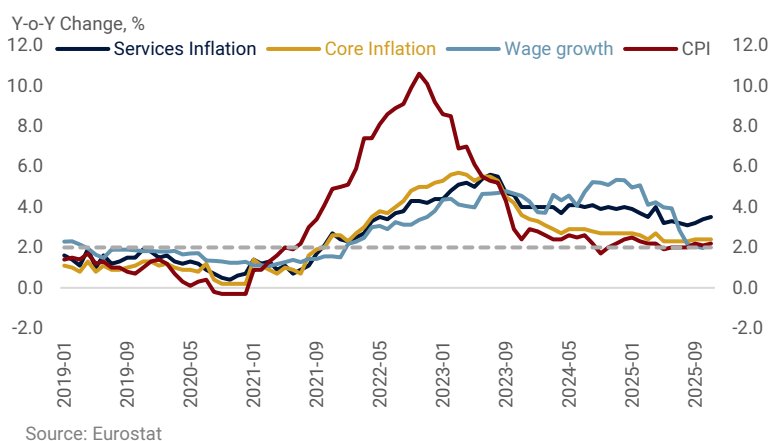
Services continue to drive economic growth, but structural challenges raise questions about the resilience of a recovery in manufacturing

Figure 3.A.5: Composite Purchasing Managers Index (PMI), Euro Area



Underlying inflation indicators suggest differing interpretations of the state of aggregate supply and demand conditions

Figure 3.A.6: Underlying Inflation Measures, Euro Area



Russian Economy

In Q3 2025, Russia's economic growth has continued to meaningfully slow to 0.6% Y-o-Y. The slowdown in growth observed throughout the first three quarters of 2025 has been widespread across virtually all sectors of the economy. Although growth in the industrial sector has decelerated, it remains in positive territory due to the expansion of military production. In October, however, both services and retail trade sectors have shown signs of recovery, potentially suggesting a rebound in consumption. On the other hand, lending continues to moderate, underscoring risks of a weak demand environment taking hold. Further compounding this risk is the planned tightening of tax policies (especially VAT).

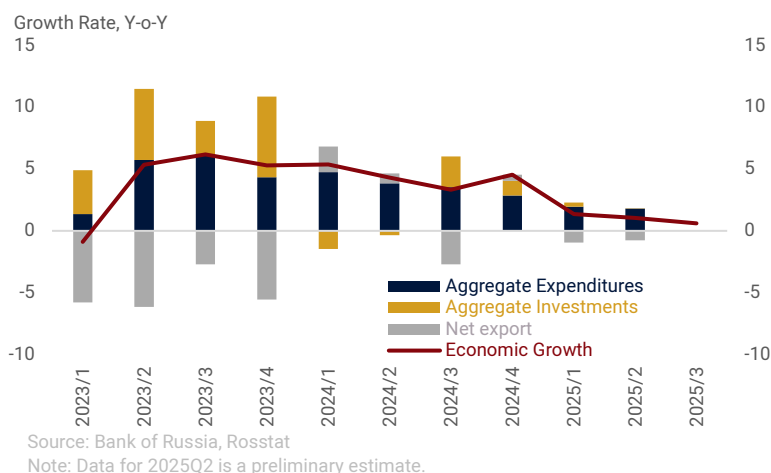
Labor market conditions remain tight. Unemployment has stayed at historically low levels, standing at 2.2% in October 2025, while real wages continue to grow at a high rate (Figure 3.A.8), especially in retail and services sectors in October. These developments reflect sustained issues with labor shortages, which could be worsened by tightening migration policies, thus generating additional inflationary pressures on the economy.

The high inflationary environment persists. Although inflation has somewhat slowed in recent months, it remains above the target, at 6.6% Y-o-Y in November (Figure 3.A.9). Inflation expectations also remain elevated, both in the short and medium term. Despite some easing of inflationary pressures in recent months against the backdrop of weakening demand, the continued tightness of the labor market and persistently high inflation expectations pose risks of potential acceleration in inflation. In this context, on the one hand, the rapid slowdown in demand, and on the other hand, the persistence of tight labor market conditions and elevated inflation expectations, pose serious challenges for the Bank of Russia in the short term in terms of effectively managing the inflation-growth trade-off. Nevertheless, the Bank of Russia has continued to lower the policy interest rate (in October by 50 basis points), while communicating a relatively cautious approach moving forward.

Uncertainty over Russia's economic growth outlook persists. The persistence of a generally weak demand environment, as well as the imposition and continued tightening of targeted sanctions by Western countries, pose risks to Russia's medium-term growth prospects. At the same time, the Russian economy remains vulnerable to current developments in the oil market, where falling prices have reduced oil and gas revenues in the state budget, and the persistence of this downward trend carries risks for fiscal policy. At the same time, weakening growth poses risks to non-oil and gas revenues, while increases in tax rates (including VAT) could have negative implications on consumption and demand conditions in the Russian economy.

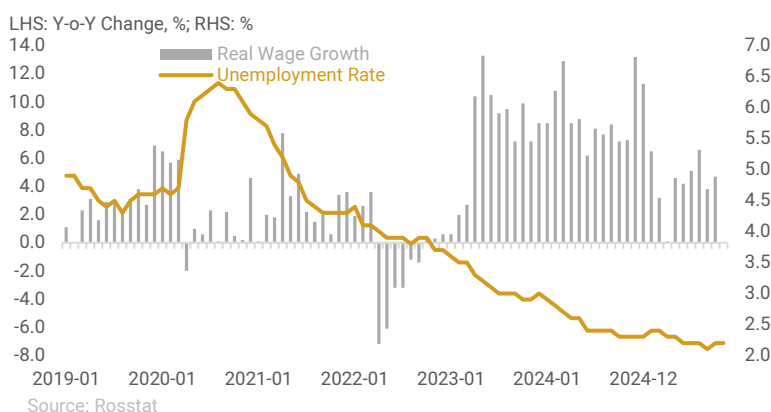
Weakening demand conditions pose risks to the medium-term economic growth outlook

Figure 3.A.7: Russia Real GDP Growth



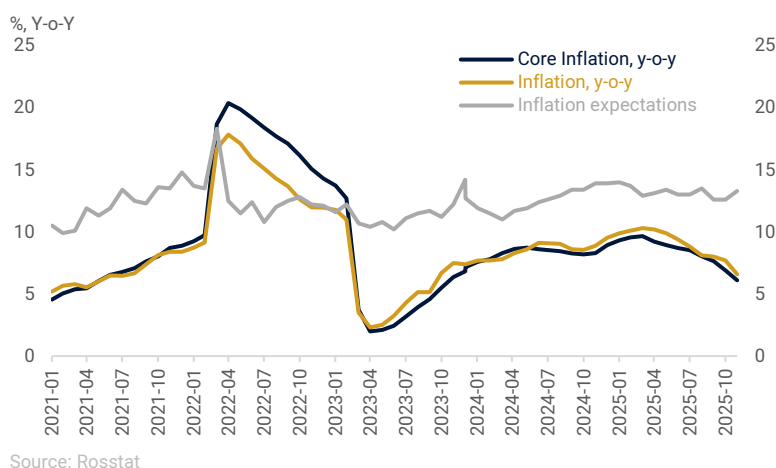
Labor market conditions remain tight, exerting additional inflationary pressures on the economy

Figure 3.A.8: Unemployment Rate and Real Wage Growth, Russia



Despite some slowdown in inflation, it remains above the target, while the persistence of elevated inflation expectations complicates the Bank of Russia's task of ensuring price stability

Figure 3.A.9: Russian inflation indicators



Box 1. China's growth outlook and its implications on global demand conditions and Armenian imported goods prices

Following robust growth in the first half of the year, China's economy has lost momentum in Q3, with annual GDP growth slowing to 4.8%. Amid weak domestic demand conditions, the economy remains increasingly dependent on exports and manufacturing output to drive growth. This, in turn, raises important questions about the outlook for the Chinese economy, both with respect to domestic demand conditions and its implications on global demand, as well as the potential for deflationary pressures from China impacting imported goods prices globally, including in Armenia.

Domestic demand conditions remain constrained by weak consumer sentiment. Retail sales in November continue to slow to their lowest level in over one year, and efforts to stimulate consumption through fiscal programs such as trade-in subsidies have had only a limited impact on boosting demand, raising questions about the strength of consumption activity moving forward. Amid this broad weakening in sentiment, investment activity also remains weak, declining in virtually all sectors of the economy with the exception of manufacturing. In this context, the significant slump in the real estate market since 2021—with large defaults by major companies including Evergrande Group as well as falling home prices amid persistently declining home sales and oversupply—points to both weakening consumer and business confidence and demand as well as the presence of financial stability risks. This weak consumption and investment activity raises questions about the strength of Chinese domestic demand moving forward, which could pose risks of slowing global demand conditions.

With domestic demand remaining subdued and failing to drive economic growth, China remains increasingly reliant on manufacturing and export sectors to support growth. Amid persistent global trade tensions, China has, over the past decade, diversified exports to EME and Southeast Asian markets, which has emerged as an important growth driver. At the same time, however, trade policy uncertainty and efforts to diversify export markets pose risks of deflationary pressures for consumer goods being exported to third countries, especially emerging market economies, including Armenia. While Armenia's imports of these types of consumer goods from China remains relatively low (comprising 4.2% of total imports), a persistence and deepening of the aforementioned trends could result in some deflationary pressures being transmitted to the Armenian economy. Moreover, sluggish consumption and investment activity on the one hand and strong exports and manufacturing on the other could point to structural imbalances in the Chinese economy. This, in turn, raises questions about the sustainability of China's growth moving forward, particularly if external demand softens amid a weakening global growth outlook or if fiscal policies fail to bring about an uptick in domestic demand conditions.

Despite fiscal stimulus efforts, consumption and domestic demand remain sluggish

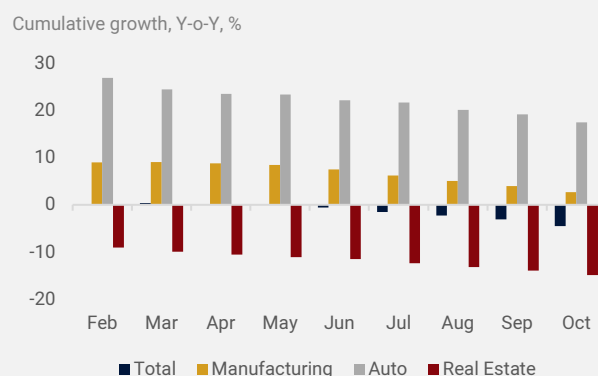
Figure B.1.1: Retail sales



Source: NBS

With the exception of manufacturing, private investment activity remains weak

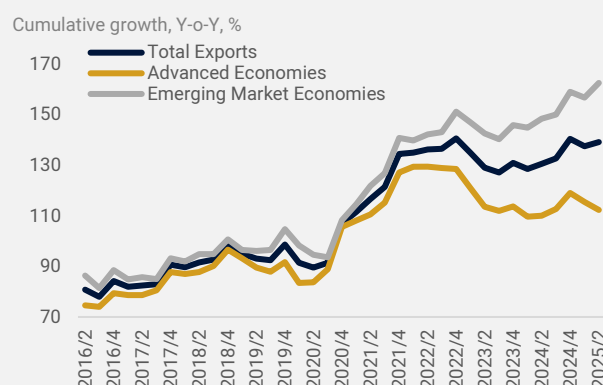
Figure B.1.1: Retail sales



Source: NBS

Despite fiscal stimulus efforts, consumption and domestic demand remain sluggish

Figure B.1.1: Retail sales



Source: NBS

Commodity Markets

Copper: Copper prices have continued to rise sharply in Q4 2025, nearing \$12,000 per metric ton in December. This unprecedented growth reflects several factors, including surging imports and inventory stockpiling amid 50% US tariffs, as well as disruptions in several large global copper mines (e.g. in Peru and Chile). However, uncertainty surrounding the copper price outlook remains elevated. On the one hand, growing demand linked to the green energy transition, AI and data centers, and increased infrastructure and defense spending pose upside risks to the prices. On the other hand, weakening global demand and the potential redirection of copper supply flows toward markets outside the U.S. could exert downward pressure on global prices.

Oil: Oil production has continued to outpace consumption in recent months. This, in tandem with easing geopolitical tensions in the Middle East, have helped stabilize oil prices near USD 64 per barrel in November, \$11 per barrel below the same period in 2024. At the same time, continued strategic stockpiling in China has limited downward price pressures. In this context, markets continue to anticipate a sustained moderation in prices through 2026. Although OPEC+ countries reduced production by 0.44 million barrels per day in October, markets anticipate that oil production will continue to exceed consumption. At the same time, trajectory of oil prices persists in both directions. On the one hand, sustained high production, along with weakening global demand, may reinforce downward price pressures. On the other hand, the potential escalation of geopolitical tensions in and around major oil producing countries could drive short-term increases in prices. Similarly, the risk of secondary sanctions against Russia could pose upward pressure through potential supply chain disruptions.

Food: Amid a general weakening in global supply-related issues, international food prices have continued to soften in recent months, with the FAO index declining by 2.1% Y-o-Y in November. On the one hand, improved harvest prospects for cereals and improved sugar production outlook in key producer countries have contributed to sustained deflationary pressures in these segments. Given slight moderation due to improved supply conditions, dairy and oil prices have softened. At the same time, meat prices continue to grow, reflecting some growth in global demand for meat. Moving ahead, the key uncertainties related to the outlook for global demand as well as the potential for further supply disruptions amid persistent climate change-related challenges.

Copper prices have surged, reflecting both increased demand and tariff risks

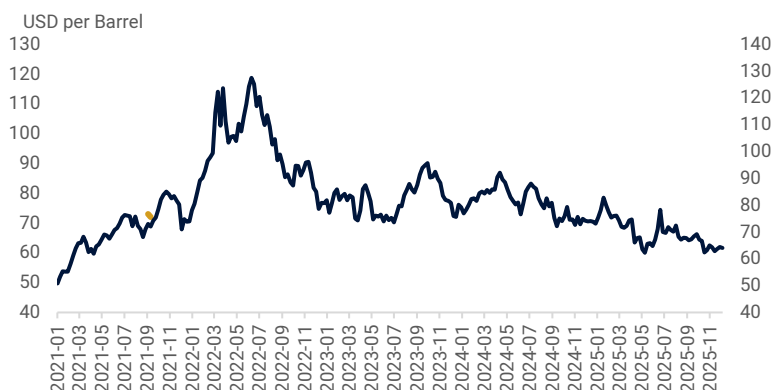
Figure 3.A.10: Copper Prices



Source: London Metal Exchange

Easing geopolitical tensions, coupled with sustained high production, have contributed to moderating oil prices. Nevertheless, both upside and downside risks remain prominent.

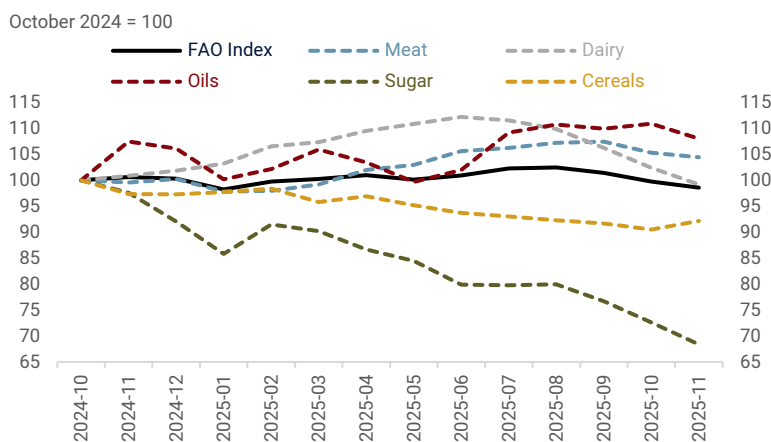
Figure 3.A.11: Brent Crude Oil Prices



Source: FRED

As supply issues have somewhat moderated, global food prices have declined

Figure 3.A.12: FAO Food Price Index



Source: FAO

Table 3.A.1: Third-Party Projections for Commodity Prices

Source/ Topic	Oil (Brent, Dollars per Barrel)			Copper (LME \$/t)			World Bank Food Price Forecasts (Ann. Growth)		
	EIA	WB	Consensus	WB	REQ	Consensus	Oils and Meals	Grains	Other Food
Date	Dec 25	Oct 25	Dec 25	Oct 25	Sep 25	Dec 25	Oct 25	Oct 25	Oct 25
2025	69	68	68	9700	9554	10035	-3.0	-10.8	-5.7
2026	65	60	62	9800	9763	11453	-0.3	0.1	-0.6

Source: US Energy Information Administration; World Bank; Australia Resources and Energy Quarterly (REQ); Bloomberg

Table 3.A.2. Third-Party Projections for GDP Growth and Inflation in Key Trading Partner Countries

Source	United States					Euro Area						Russia				
	IMF*	WB	OECD	Fed	Consensus	IMF*	WB	OECD	EC	ECB	Consensus	IMF*	WB	OECD	CBR	Consensus
Date	Oct 25	Jun 25	Dec 25	Dec 25	Dec 25	Oct 25	Jun 25	Dec 25	Nov 25	Sep 25	Dec 25	Oct 25	Jun 25	Dec 25	Dec 25	Dec 25
GDP Growth (Annual Rate, %)																
2024			2.8 (Actual)					0.8 (Actual)						4.3 (Actual)		
2025	2.0	1.4	2.0	1.7	2.0	1.2	0.7	1.3	1.3	1.2	1.4	0.6	1.4	0.7	0.9	0.8
2026	2.1	1.6	1.7	2.3	2.0	1.1	0.8	1.2	1.2	1.0	1.1	1.0	1.2	0.5	1.1	1.1
2027	2.0	1.9	1.9	2.0	2.0	1.4	1.0	1.4	1.4	1.3	1.4	1.1	1.2	0.6	1.7	1.5
Inflation (Annual Rate, %)																
2024			3.0 (Actual)					2.4 (Actual)						8.4 (Actual)		
2025	2.7	-	2.7	2.9	2.8	2.1	-	2.1	2.1	2.1	2.1	9.0	-	8.7	8.8	8.8
2026	2.4	-	3.0	2.4	2.9	1.9	-	1.9	1.9	1.7	1.8	5.2	-	5.4	5.5	6.0
2027	2.1	-	2.3	2.1	2.4	2.1	-	-	2.0	1.9	2.0	4.0	-	4.3	4.5	4.5

Note: IMF inflation forecasts per October WEO.

Source: IMF; World Bank (WB); OECD; Fed; ECB; CBR; European Commission (EC); Bloomberg

B. Domestic Demand Conditions

Gross Domestic Product

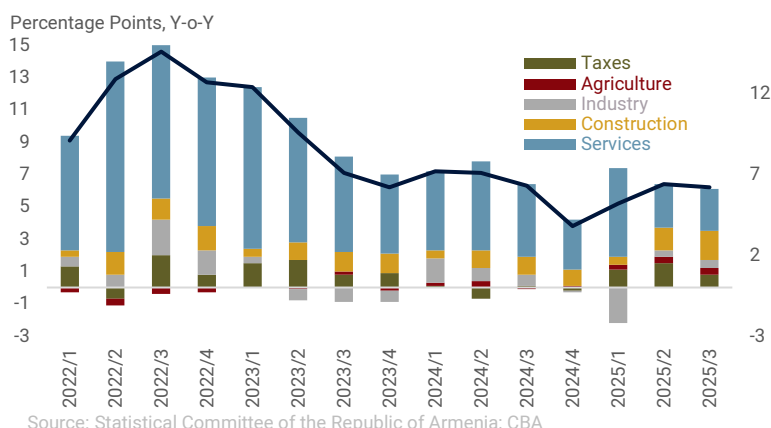
In Q3 2025, economic growth in Armenia remained at high levels, standing at 6.2% Y-o-Y, slightly above most estimates of its long-run sustainable level. GDP growth in Q3 and economic activity growth in Q4 continued to be concentrated in demand-driven sectors including construction and services, which could pose risks to the future sustainability of growth and the long-term outlook. Construction continues to grow at a rapid pace, but persistent risks of a gradual adjustment in real estate prices could threaten growth in adjacent sectors, contribute to weakening demand conditions, and pose deflationary pressures. At the same time, while growth in services remains driven by IT and Financial Services (together contributing 1.8 p.p. to overall growth), signs of some acceleration in other services subsectors could point to an expansion in aggregate demand conditions. Trade continued to slow amid a gradual fading of certain short-term, non-structural factors. In the past two quarters, growth in industry has recovered, primarily reflecting strong growth in traditional sectors of manufacturing. Further, growth in exports, lending, and productive capacities offers positive signs about the outlook for manufacturing.

Since May, tourism inflows to Armenia have accelerated compared to prior years, partly reflecting a shifting structure in source markets. Tourism inflows from Russia have recovered but still remain below 2023 levels, while inflows from non-traditional source markets have increased significantly. While a seasonal slowdown in tourism has been observed since September, the medium-term outlook remains uncertain, driven by weakening demand conditions globally and in Russia on the one hand and questions about the persistence of structural changes in source markets observed in 2025 on the other.

In this context, various signals point to a possible emergence of a positive output gap in Q3 2025 (Figure 3.B.3). However, the characteristics of recent growth, divergent developments across sectors, and mixed signals from various indicators add uncertainty regarding the relative position of aggregate demand and supply in the economy. On the one hand, strong loan growth, elevated private consumption, and high demand-driven growth indicate sustained excess demand pressures in the economy. On the other hand, stable labor market conditions, persistently low inflation in services and non-traded sticky prices, slowing retail trade, and the continued concentration of growth in certain sectors do not suggest excess demand conditions in the economy.

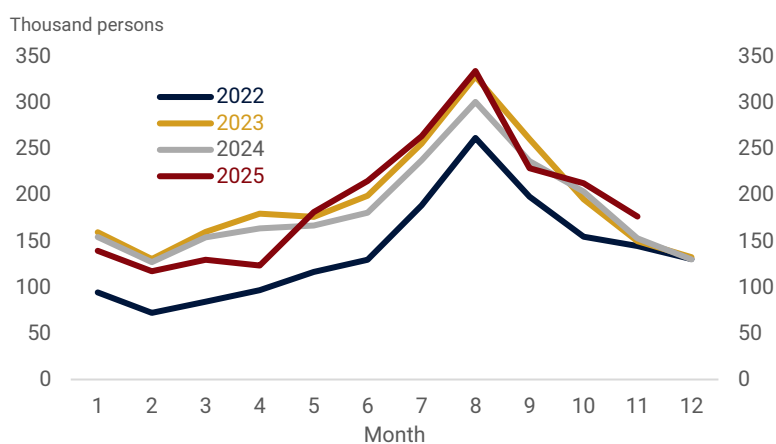
Economic growth remained high in Q3, with growth concentrated in demand-driven sectors

Figure 3.B.1: Contribution to Real GDP Growth by Production Approach



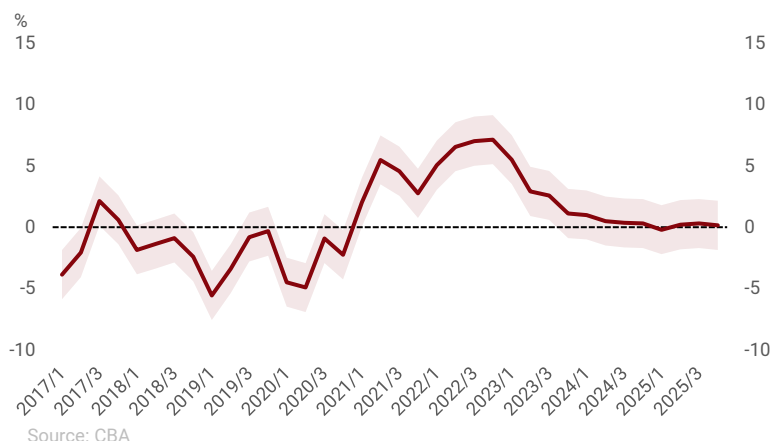
Tourist inflows remain at historically high levels despite seasonal slowdown

Figure 3.B.2: Inbound Tourists Number



High demand-driven growth and lending activity could point to a slightly positive output gap, while labor market conditions, weak retail trade, low services inflation, and the structure of growth could suggest a closed or even slightly negative output gap

Figure 3.B.3: The Output Gap



Consumption and Investment

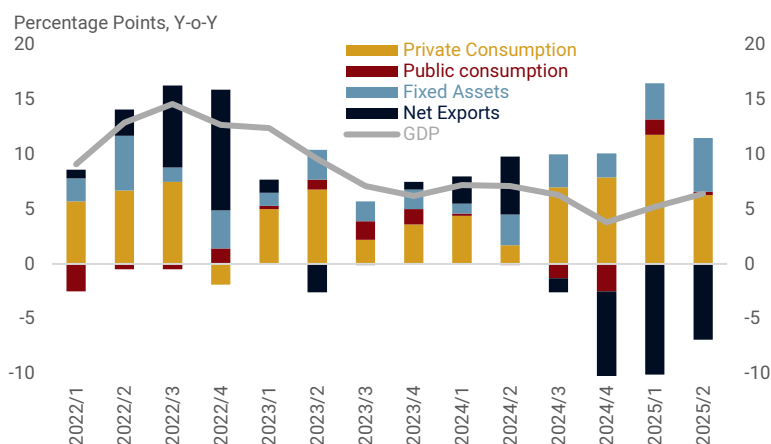
Private consumption has continued to grow at a strong pace, recording a Y-o-Y increase of 6.1% in Q3 2025 (Figure 3.B.4). The sustained high levels of private consumption may be attributed to continued strong growth in lending to households and the private sector, as well as the utilization of accumulated savings. Gross investment growth grew by 11.9% in Q3 2025, driven by growth in both private and public investment, particularly in real estate and infrastructure (Figure 3.B.5). Considering the significant role that construction plays in gross investment, the meaningfully higher growth observed in the construction sector may point to even stronger investment activity than the data would otherwise suggest. On the other hand, Y-o-Y declines in imports of capital goods could indicate weak investment activity in other sectors of the economy.

Uncertainties remain regarding the outlook for domestic demand. On the one hand, domestic demand could grow on the back of spending from previously accumulated savings in the private sector, as well as sustained high credit growth. Such a scenario could fuel further excess demand pressures (particularly if the economy is operating at or slightly above its potential output), thereby increasing inflationary pressures. On the other hand, relatively muted growth in certain sectors of the economy, persistently low retail trade growth, declining imports of final consumption and capital goods, as well as the absence of high wage growth conditions, (Figures 3.C.1 and 3.C.4) offer counterarguments against an excess demand environment forming. Moreover, the future trajectory of geopolitical tensions and regional uncertainties could have meaningful implications on private spending, in terms of both consumption and investment. A persistence of these trends could dampen the growth outlook, while a weakening in geopolitical tensions could pave the way for capital inflows and greater investment activity. Additionally, uncertainty regarding the stance of fiscal policy remains relevant from the perspective of domestic demand outlook.

Uncertainty remains regarding the number of Armenian labor migrants in the Russian Federation and the actual volume of remittances flowing into Armenia. The role of remittances in driving private demand has diminished considerably, given Armenia's strong economic growth and the substantial increase in household incomes. Nonetheless, remittances have accelerated in recent months, even as they remain at relatively low levels historically (Figure 3.B.6). Looking ahead, on the one hand, uncertainties surrounding the Russian economic outlook and tightening migration policies may act as limiting factors for labor migration to Russia, leading to increases in labor supply within Armenia and easing inflationary pressures. Conversely, a more positive Russian growth outlook and/or a strong ruble could increase labor migration incentives.

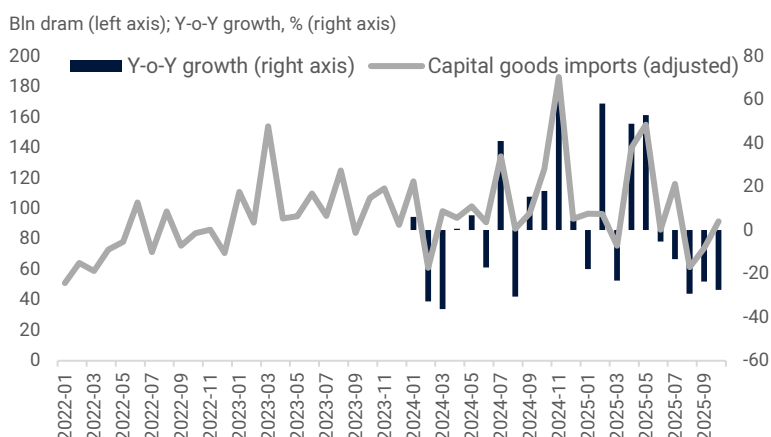
While data uncertainty remains, sustained lending growth and high accumulated savings could drive growing private spending

Figure 3.B.4: Contribution to Real GDP Growth by Expenditure Approach



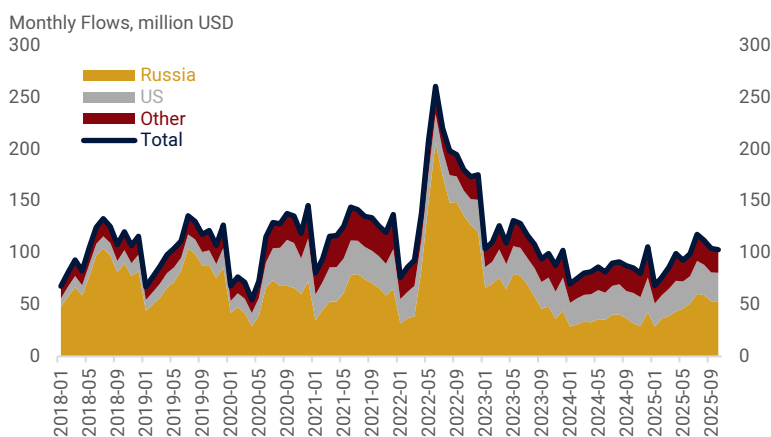
Strong growth in construction on the one hand and weakening capital goods imports on the other offer differing interpretations about the underlying investment climate

Figure 3.B.5: Capital goods imports



Remittances have increased substantially in recent months, particularly from Russia, but uncertainties around their future trajectory persists

Figure 3.B.6: Inflow of Non-Commercial Transfers to Armenia by Source Country



External Trade and Demand

The current account improved somewhat in Q2 2025 as external demand increased (Figure 3.B.7). Growth in external demand is reflected in a sharp uptick in tourist arrivals to the country as well as high demand for domestically-produced goods and especially services. IT services exports continue to grow at a strong pace, and as of Q2 2025 their exports represent around 5.6% of GDP, while financial services exports stand at 2.4%. Moreover, in Q3 and Q4, exports of traditional subsectors of manufacturing have grown meaningfully. Although a natural, seasonal slowdown in tourism flows has been observed since September, tourist arrivals in October and November nonetheless stand at historical peaks. Looking ahead, the external demand outlook remains uncertain. In this context, considering Russia's role in external trade (capturing approximately 40% of Armenia's exports), further weakening in demand conditions and real incomes in Russia could have negative implications on both trade and tourism flows.

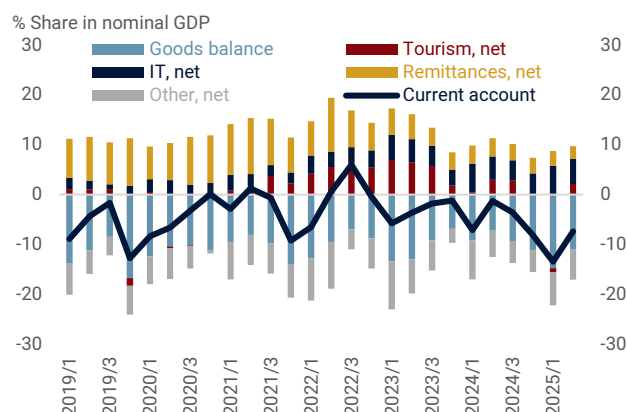
Uncertainty around the fundamental level of real exchange rate leaves room for several interpretations. One such argument is that REER appreciation reflects meaningful increases in productivity and potential output growth, as evidenced by the increasing share of tradable goods and services exports in GDP and per capita productivity growth in those sectors (IT, financial services, etc.) that typically rely on human capital and innovation. This would suggest a structurally more productive economy with significantly enhanced long-term export potential and productive capacities (higher growth potential), supporting the case for a fundamental appreciation in the exchange rate. Alternatively, if these factors have been less pronounced, the REER appreciation would prove to be largely cyclical. Its eventual adjustment would likely be reflected in a corresponding correction of the current account balance.

Fiscal Policy

Considering the strong collection of tax revenues in 2025 YTD, risks of revenue underperformance have significantly weakened. While capital expenditure performance continues to meaningfully improve, risks of underperformance nonetheless persist. Current expenditures continue to be executed in line with historical trends, although considering upticks in Q4 expenditures observed in past years, an increase in current expenditures could be observed in the final months of the year. Consequently, despite uncertainty about the scale of fiscal policy impacts on aggregate conditions, risks of a meaningfully expansionary impact have weakened. In the medium term, amid planned fiscal consolidation, tax administration and tax/GDP are expected to gradually improve. In tandem with these revenue-side factors, the expected slowing of the pace of current expenditure growth could soften impacts on aggregate demand conditions. In this context, moving ahead, the key uncertainties relate to the pace of revenue growth amid tax admin. improvements, as well as the performance of current expenditures. Further, considering risks of capital expenditure underperformance as well as the structural characteristics of these expenditures, risks of a weaker impact on demand conditions remain relevant. At the same time, growth in capital expenditures oriented toward infrastructure and economic capabilities could have positive impacts on potential output. The main risks moving forward relate to the deficit and public debt trajectory, which will largely depend on the extent to which increases in revenues and slowing expenditure growth align with the budget plan. This, in turn, could have implications on the country risk premium.

Uptick in external demand has contributed to an improvement in the Current Account deficit in Q2

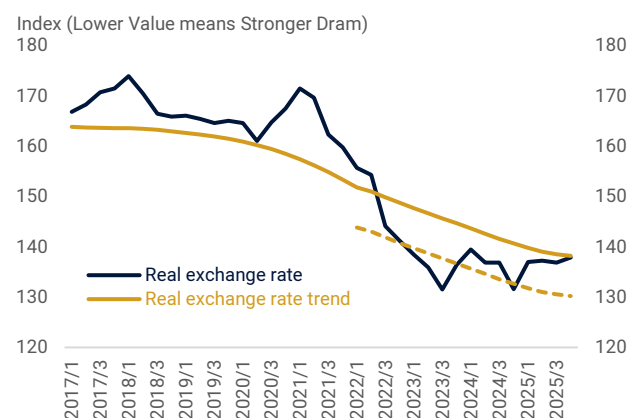
Figure 3.B.7: Current Account



Source: Statistical Committee of the Republic of Armenia; CBA

Uncertainty regarding the cyclical position of the real exchange rate persists; stronger productivity growth could support a case for greater trend appreciation

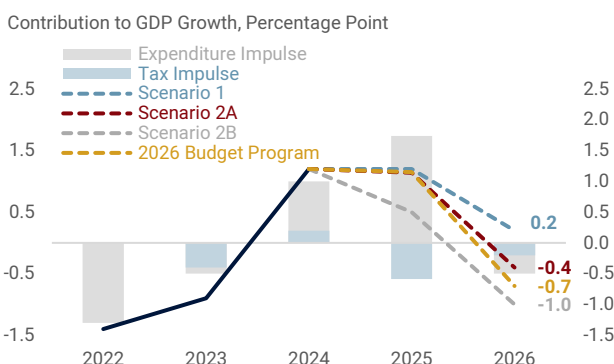
Figure 3.B.8: Real Effective Exchange Rate and Trend for AMD weighted against USD, EUR and RUB



Source: CBA

Considering planned fiscal consolidation, impacts of fiscal policy on aggregate demand conditions could be much weaker

Figure 3.B.9: Scenarios for the Impact of Fiscal Policy on Aggregate Demand in 2025-26



Source: Ministry of Finance; CBA calculations

Scenario 1 – Underperformance of tax revenues and a slower-than-expected improvement in the tax revenue/GDP ratio, along with a partial utilization of the reserve fund
Scenario 2 – Changes to the structure of capital expenditures, with a greater emphasis on expenses that directly impact the domestic economy, as well as increased expenditures on infrastructure projects
Scenario 3 – Full execution of the revenue plan, but underperformance of capital expenditures in line with previous years

C. Labor Market and Inflation

Labor Supply and Demand

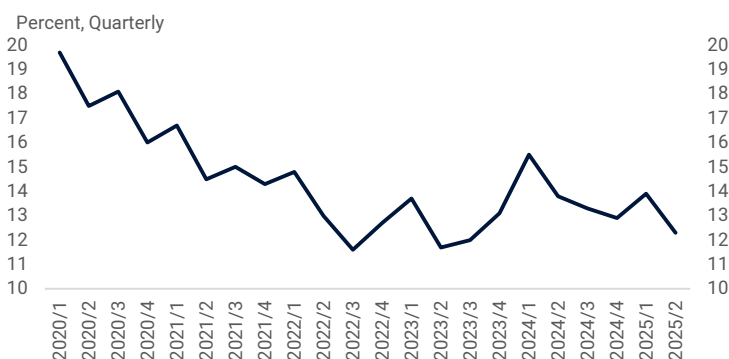
Uncertainties around labor market conditions persists. In the second quarter of 2025, Armenia's unemployment rate declined to 12.3% (Figure 3.C.1). Per the labor market survey, labor resources in Q2 have increased Y-o-Y, but this has been at the expense of increases in the economically inactive population rather than employed persons. While this could reflect weakening labor demand in the economy, this data is nonetheless inconsistent with the high economic growth and stable wage growth observed in the economy in Q2. At the same time, SRC data suggesting strong increases in the number of registered employees could point to high labor demand, although it also could reflect a gradual, structural decline in the shadow labor market in favor of formal employment (Figure 3.C.2). Further, wage growth continues to stabilize in the range of 5-6%, and is somewhat more evenly distributed across sectors of economy than in recent quarters. This could suggest more balanced labor market conditions and fewer structural imbalances in the economy.

Future trends in labor supply are largely linked to two key factors: the pace of labor market integration of forcibly displaced persons from Nagorno-Karabakh and the dynamics of labor migration flows to Russia. On the one hand, risks surrounding Russia's economic outlook and tighter migration regulations in Russia may limit outbound migration. This could result in meaningful increases to domestic labor supply, potentially posing downside, deflationary risks to the domestic economy. On the other hand, remittance inflows from Russia have grown somewhat in recent months (Figure 3.C.3), potentially reflecting the impacts of an appreciated ruble and persistent labor shortages in Russia. Looking ahead, the key uncertainty relates to whether the headwinds of tightening migration policy will offset economic incentives for seasonal labor outmigration to Russia.

In conclusion, while labor market data contains mixed messages, several signals from the labor market point to demand for labor continuing to remain strong. At the same time, however, increases in labor supply have helped absorb labor demand and prevent the emergence of major inflationary pressures stemming from the labor market. Moving forward, the labor market outlook will depend on the future trajectory of labor supply growth, particularly if aggregate demand conditions accelerate. Further increases in labor supply in tandem with labor demand growth could prevent the emergence of any meaningful inflationary pressures from the labor market. At the same time, the potential for increased labor outmigration could contribute to tighter labor market conditions emerging, with accompanying inflationary implications.

Despite uncertainties around employment estimates, labor market conditions appear to be more balanced relative to previous quarters

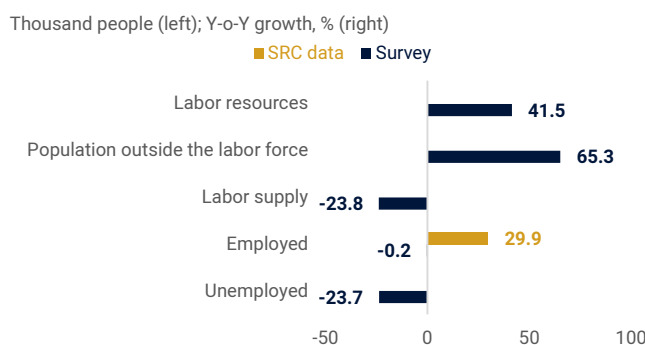
Figure 3.C.1: Unemployment Rate, Armenia



Source: Statistical Committee of the Republic of Armenia

While labor market surveys suggest payroll growth remains flat, sustained growth in registered employees could indicate labor demand remains strong

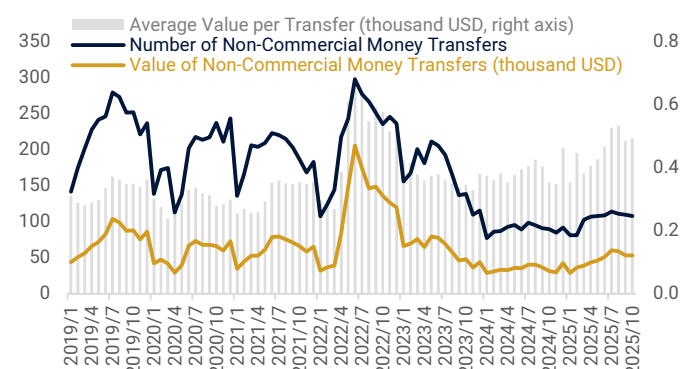
Figure 3.C.2: Change in Labor Resources, 2025Q2/2024Q2



Source: State Revenue Committee (SRC) of Armenia

Widening wage gaps amid appreciating ruble and labor supply shortages in Russia could drive greater outmigration, but tightening Russian migration policy could pose real headwinds

Figure 3.C.3: Non-Commercial Money Transfers from Russia to Armenia



Source: CBA

Wage Growth

Nominal private sector wage growth declined somewhat in Q3, reaching 4.3% year-on-year in Q3 2025 (Figure 3.C.4). However, underlying developments give rise to differing interpretations about the state of the labor market. On the one hand, slowing headline wage growth could point to a general weakening of demand conditions across the economy. However, much of the decline in wage growth was driven by financial services and IT (which, somewhat contradictorily, were two of the biggest drivers to Q3 GDP Growth). Excluding these sectors, private wage growth in Q3 would have stood at 6.7%, suggesting more stable and balanced demand conditions in the economy.

Inflation

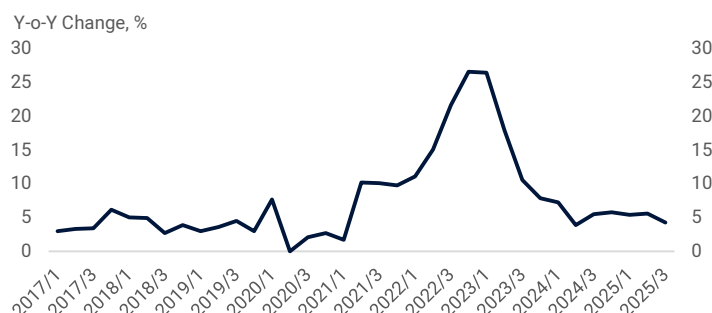
Throughout 2025, inflation has shown some signs of accelerating, primarily reflecting both increased inflationary pressures from the global economy (particularly for imported food) amid elevated supply issues as well as above-historical-average inflation for several seasonal goods. However, these factors have meaningfully softened in November, with CPI declining to 3.1% Y-o-Y. Moving forward, the main uncertainties relate to whether these trends will persist, as well as the scale and pace of domestic price adjustments. In recent months, increases have been observed in specific product groups (especially dairy, with inflation of 0.6% M-o-M, 5.8% Y-o-Y) amid the imposition of mandates for QR codes. However, inflation in these product groups exceeds the costs associated with the QR code mandates, which suggests that these price increases are also due to other factors, including increased operational costs, adjustments to price-setting behaviors, and others. Additionally, the deflationary pressures from non-food products observed in the beginning of the year have gradually subsided, entering weak inflationary territory in May and standing at 1.2% Y-o-Y in November. Services inflation has increased somewhat since early 2025, mainly due to high inflation for air transport services; excluding this subgroup, services inflation has remained stable and below target. Non-Traded Sticky Price Inflation, which captures domestically-driven demand dynamics, has continued to remain stable, in the range of 2.0- 2.5% Y-o-Y.

Inflation Expectations

According to the results of the household inflation expectations survey conducted by the Central Bank of Armenia, in the fourth quarter of 2025, inflation expectations have remained broadly stable. The share of respondents expecting a slower pace of price increases has increased slightly, while the share of those expecting a higher pace of inflation has remained generally unchanged. These developments may reflect the gradual stabilization of inflation expectations around the target level, largely supported by the prolonged low-inflation environment in the economy. Nevertheless, the persistence of uncertainties may reflect public perceptions of high inflation for certain food products throughout 2025. At the same time, developments in the Non-Traded Sticky Price Index and private wage growth may point to low and stable inflation expectations.

Declining headline wage growth could suggest weakening demand, but declines are not broad-based across all sectors

Figure 3.C.4: Nominal Private Wage Growth, Armenia



Source: Central Bank of Armenia

As global and domestic supply-related factors have softened, inflation has weakened in November

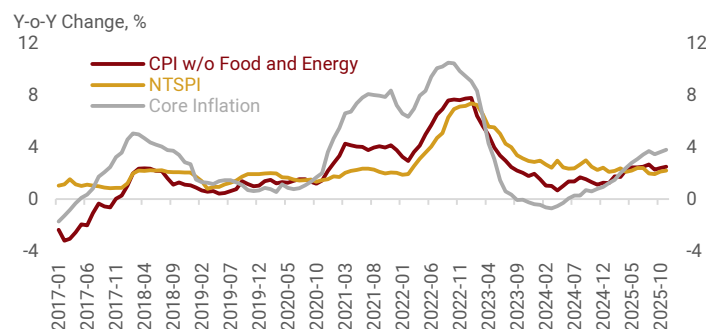
Figure 3.C.5: Y-o-Y CPI Inflation and the Target, Armenia



Source: Statistical Committee of the Republic of Armenia, CBA

Non-traded sticky prices have largely stabilized

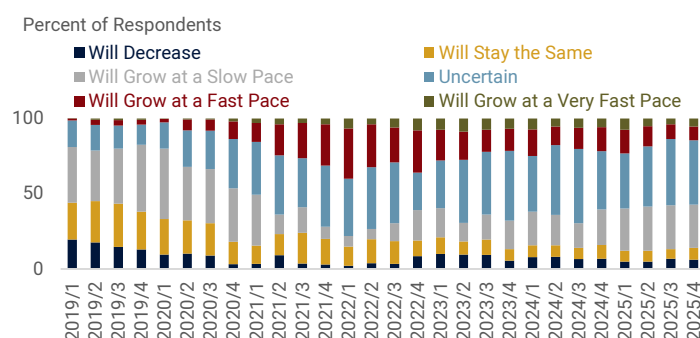
Figure 3.C.6: Underlying Inflation Measures, Armenia



Source: Statistical Committee of the Republic of Armenia, CBA

Inflation expectations continue to stabilize

Figure 3.C.7: Survey on Households' Inflation Expectations, Armenia



Source: CBA

D. Financial Markets

Market Expectations of Policy Rates

According to the latest survey conducted by the CBA among financial market participants, as of December 10, 2025, market participants on average expect the CBA to continue to very gradually decrease the policy rate over the course of the next eight decisions. This is generally consistent with the results from the CBA's Q4 Macro Survey (see Box 4), where participants expect a gradual reduction of the policy rate over the medium-term horizon to estimated long-term stable levels of roughly 6.25%. In line with participants' expected macroeconomic outlook, markets expect both growth and inflation to gradually stabilize around their long-term sustainable levels.

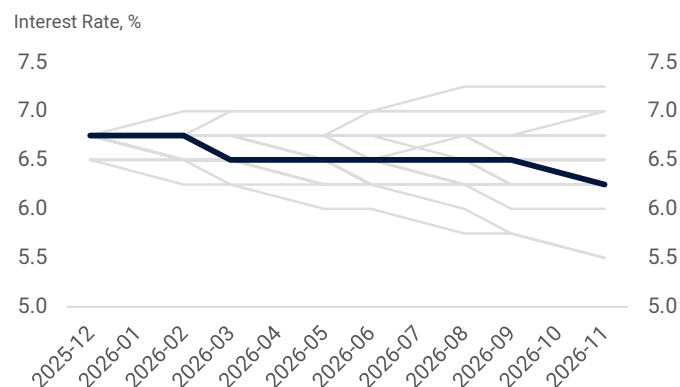
Since October, the yield curve has declined across all segments. The yield curve has declined since October across all maturities. This could reflect improving sentiment toward emerging market bonds, as well as well as country-specific factors that could point to a downward reassessment of the country risk premium; the gradual impact of long-term, structural factors, including declining inflation expectations amid a reduction in the inflation target at the beginning of the year, fiscal consolidation, as well as expectations of greater real exchange rate trend appreciation amid growing capacities and productivity in exportable sectors; the gradual transmission of monetary policy; and/or non-structural factors, including, for example, increased AMD liquidity in domestic financial markets.

Neutral Interest Rate

Considering the general neutrality of economic demand, labor market conditions, and the inflationary environment, the current stance of the monetary policy can be assessed to be close to neutral. However, significant uncertainty remains regarding the underlying components of the neutral interest rate, including the US neutral rate, inflation expectations, the country risk premium, and fundamental exchange rate appreciation. In this context, a significant expansion of US debt and deficit levels could result in a higher neutral rate there, exerting upward pressure on neutral rates in emerging markets including Armenia. The country risk premium has continued to decline in the recent period. Regional geopolitical developments may have positive impacts on the long-term sustainable level of the country risk premium (Figure 3.D.6). However, a persistence of regional tensions could result in a higher fundamental risk premium level. Further, increases in Armenia's export and productive capacities in recent years, and the resulting trend appreciation of the real effective exchange rate point, could lead to a downward reappraisal of the neutral rate, particularly if productivity and potential export gains prove stronger than assumed. Moreover, considering the CBA's reduction in the inflation target to 3% beginning in January 2025, as well as persistently low inflation in non-traded sticky prices (see subsection C), inflation expectations may already be fully anchored at the new target, again contributing to a lower level for the nominal neutral rate.

Most market participants expect gradual declines in the policy rate over the next year

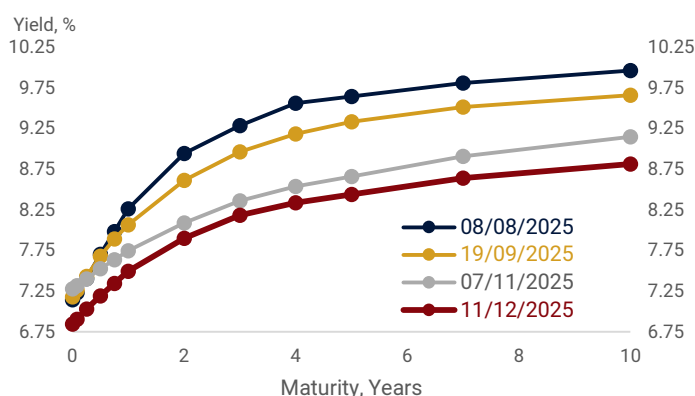
Figure 3.D.1: Financial Market Participants' Expectations of the CBA Policy Rate According to December 10, 2025 CBA Survey



Source: CBA

Yield curve has declined across all segments since October, likely reflecting both global and country-specific factors

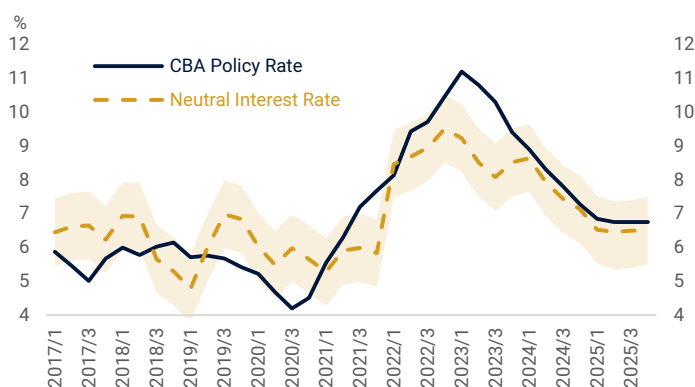
Figure 3.D.2: Yield Curve Dynamics, Armenia



Source: CBA

How Tight are Monetary Conditions?

Figure 3.D.3: CBA Policy Rate and Underlying Equilibrium Rate



Source: CBA

Box 2. Yield curve developments in the context of the monetary policy transmission mechanism

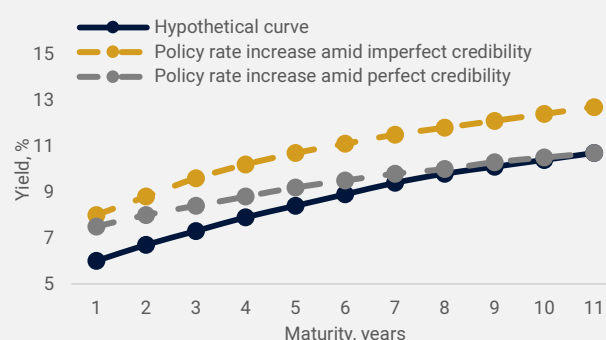
Monetary policy transmission is a relatively complex process; the transmission of policy rate changes on financial market interest rates and lending activity does not occur mechanically. Understanding how the transmission mechanism works in practice requires grasping market expectations of the future path of the policy rate, as well as the impacts of a variety of external and domestic factors. One of the primary transmission channels of monetary policy is often considered to be the transmission of interest rates in bond markets. The central bank determines the price of short-term liquidity, which is directly linked only to short-term market interest rates, such as the interest rates on short-term bonds and deposits. Therefore, the price of short-term money has a limited direct impact on long-term interest rates. In this process, market expectations regarding the central bank's policy rate—including expectations and perceptions about the medium-term and long-term equilibrium interest rate—play an important role. Another important factor for long-term interest rates is the central bank's credibility, which is reflected in the extent to which inflation expectations are well-anchored. When the central bank's credibility is high and expectations are well-anchored, changes in short-term interest rates may generate only small movements in the long-term segment of the yield curve (see Chart B.2.1). Thus, under conditions of high central bank credibility, when inflation expectations remain anchored, market participants do not revise the expected path of medium- and long-term policy rates in response to short-term policy rate changes. Long-term interest rates are primarily shaped by expectations regarding future short-term and medium-term policy rates, as well as by the term premium. Therefore, when expectations remain unchanged, movements in the short end of the yield curve are transmitted only weakly—or to a limited extent—to long-term interest rates. High credibility of central banks ensures that short-term policy adjustments are viewed by the market as cyclical and temporary, rather than as signals of a long-term shift in the stance of monetary policy, which largely explains their limited effect on the long-term segment of the yield curve.

In this context, the persistence of long-term interest rates at relatively high levels during the Central Bank of Armenia's policy rate-cutting cycle in 2023 is better understood when viewed through the lens of movements in interest rate expectations and the structure of the yield curve. In the period since the external demand shock of 2022, significant shifts have been observed in the structure of the economy, which have influenced the yield curve's developments. These changes have manifested both in a broad decline across the entire curve—driven by shifts in structural factors and the stabilization of the macroeconomic environment—and in substantial changes in the slope of the curve, which primarily reflect the effects of different monetary-policy cycles. Accordingly, several interpretations emerge regarding the trends observed in the development of Armenia's yield curve over this period, all of which point to the role of specific structural factors.

The curve has returned to a more or less “normal” shape. Long-term interest rates include a term premium that compensates investors for risks such as inflation and policy uncertainty. Looking at recent developments in term premia in Armenia's government bond market, we observe that during the monetary policy easing phase, term premia were in line with the past five years' average but below long-term historical averages. This may indicate that the component of uncertainty related to monetary policy has somewhat declined, driven by increased transparency of the CBA and rising credibility.

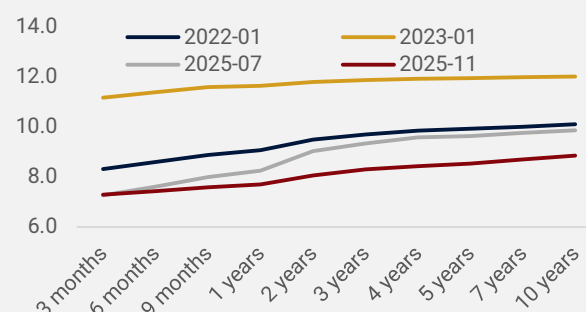
Beginning in 2023, in tandem with the policy easing cycle, inflation expectations also continued to gradually decrease, accompanied by a gradual improvement in the CBA's transparency and credibility. In this context, both short-term and long-term interest rates declined. However, while the behavior of short-term rates primarily reflected the impact of the CBA's policy actions, the decline in long-term rates was related to the gradual reduction in inflation expectations and economic uncertainties. Starting in 2024, the decline in the CBA's policy rate, as expected, was expressed mainly in the short end of the curve, whereas long-term interest rates remained relatively stable. Therefore, this phase corresponds more closely to an adjustment of the monetary policy cycle, which was also reflected in the gradual adjustment of the term premium toward medium-term equilibrium levels (a normalization of the curve's shape) (see Charts B.2.3 and B.2.4).

Figure B.2.1: Movements in the yield curve depending on level of CB credibility



Source: Authors

Figure B.2.2: Historical yield curve dynamics



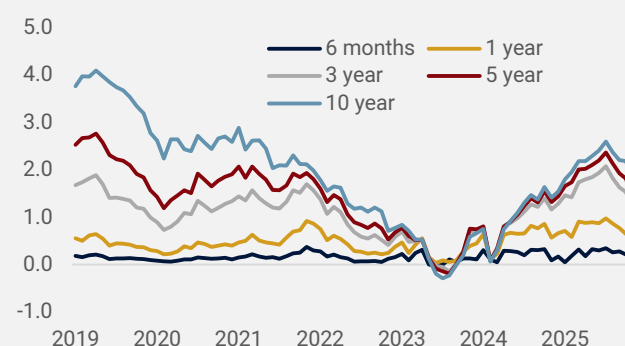
Source: CBA

Notable developments emerged beginning in August 2025, when Armenia's country risk premium underwent a significant downward adjustment in international markets. This was driven both by the decline in risk premia across emerging markets and by a comparatively larger decrease in Armenia's idiosyncratic risk premium relative to other countries in the region. These dynamics were reflected in substantial adjustments in long-term government bond yields in the domestic market. A further contributing factor was the significant reduction in the government's bond issuance relative to the strong demand from financial institutions. As a result, term premia adjusted markedly downward, settling at levels well below their historical averages.

Change in the maturity structure of public debt. The relative supply of government bonds across different maturities also plays a role in shaping the yield curve. As a result of the government's debt-management strategy, the maturity profile of public debt shifted toward greater issuance of medium-term and short-term bonds. This altered the relative prices of assets across maturities. The increase in the relative supply of medium-term bonds was reflected in a narrowing of the spread between long-term and medium-term bond yields, which contributed to some flattening of the curve beginning in mid-2023. Thereafter, alongside the monetary-policy easing cycle, term premia gradually returned to their historical average levels. These developments further underscore that the main determinants of long-term interest-rate behavior are structural factors, while the connection to the central bank's policy actions is expressed primarily in the short end of the curve (see Chart B.2.5).

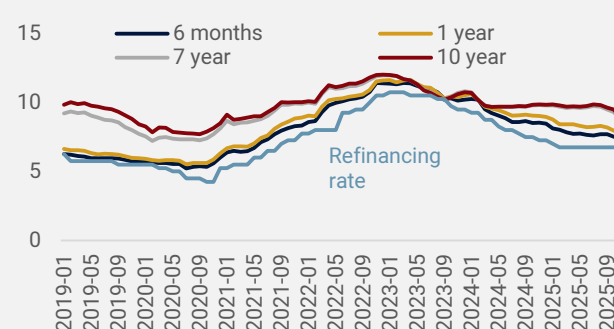
Developments in the long-term equilibrium interest rate. As a small open economy, Armenia is sensitive to global financial conditions, particularly to the dynamics of long-term global interest rates. This factor is central in shaping Armenia's long-term equilibrium interest rate. Since the post-COVID period, several structural factors—most notably the high level of U.S. government debt, productivity growth, and the reassessment of global neutral interest rates—have contributed to an increase in long-term interest rates in the United States. This has had a direct impact on Armenia's domestic financial markets, raising the overall level of long-term equilibrium interest rates. It is especially important, however, to emphasize the trend observed since mid-2023, when—despite rising long-term interest rates in the United States—long-term rates in Armenia began to exhibit a downward trend. The decline in Armenia's long-term equilibrium interest rates has been driven by several domestic fundamentals, including recent productivity dynamics, a fundamentals-driven appreciation of the real exchange rate, and a reduction in risk premia resulting from improvements in external balance and domestic macroeconomic stabilization. Among these fundamentals, particular attention should also be paid to the downward adjustment in inflation expectations in line with the CBA's reduction of the inflation target. The combined effect of these factors has produced a downward trend in Armenia's long-term equilibrium interest rates, running counter to the upward movement observed in U.S. rates. This indicates that Armenia's economic fundamentals have played a significant role in shaping long-term equilibrium interest rates in recent years (see Chart B.2.6).

Figure B.2.3: Term premium



Source: Authors

Figure B.2.4: Refinancing rate and bond yields



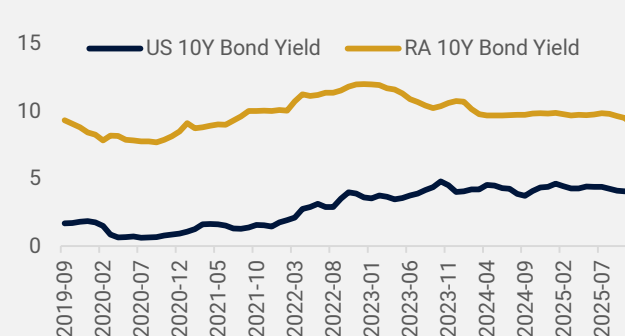
Source: CBA

Figure B.2.5: Structure of government debt



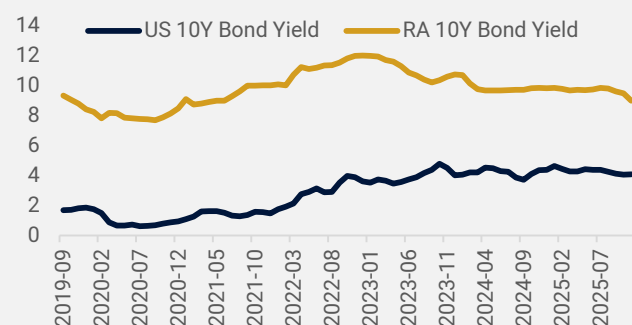
Source: Ministry of Finance

Figure B.2.6: US and Armenian 10-year bond yields



Source: RA Ministry of Finance; US Treasury Department

Figure B.2.7: Proportion of AMD bonds and loans



Source: CBA

Structural changes in the banking system's balance sheet. The relationship between structural changes in the banking system's balance sheet and the yield curve is important not only for understanding the relative behavior of these markets, but also because it reflects one of the features of the monetary-policy transmission mechanism—its pass-through to the real economy via the financial sector. During the high-uncertainty period of COVID, banks tended to build their investment portfolios toward relatively lower-risk assets, which was reflected in a significant increase in the weight of government bonds within dram-denominated assets, well above pre-COVID averages. As macroeconomic and financial uncertainties gradually eased, structural shifts emerged in banks' balance sheets. The decline in the relative demand for bonds led to a situation in which the medium- and long-term segments of the yield curve remained at comparatively high levels, regardless of the downward trend in short-term interest rates. This development is an important signal, as it illustrates how balance-sheet structural changes shape market demand for government bonds and how they affect long-term financial conditions and, consequently, the effectiveness of the monetary-policy transmission mechanism. The relative decline in banks' demand for bonds—driven by a reassessment of risks and the recovery of lending activity—resulted in the long end of the yield curve responding more slowly to the expected future decline in policy rates.

All of the above factors and developments indicate not a change in the transmission mechanism, but rather that the process of forming interest rates in the long end of the curve is highly complex, driven primarily by structural factors, and that the influence of short-term monetary-policy rates on these structural factors is, both theoretically and practically, quite limited.

Bank Lending Conditions

Bank lending continued to expand in Q4 2025, with Y-o-Y credit growth rates hovering around 31% in October, reflecting sustained high demand for credit in the economy. Strong growth in consumer loans to households could point to the potential for further growth in domestic demand conditions. In contrast, mortgage growth has softened somewhat but continues to grow at a strong pace. This suggests that demand for real estate (whether for housing or investment) continues to remain strong in both Yerevan and adjacent regions, even as some gradual adjustments are taking place, which is also reflected in CBA surveys of bank lending conditions. These surveys also suggest commercial banks continue to expect sustained demand growth in, and continued net easing of conditions for, consumer and business loans, given their assessment of overall economic conditions and increasing competition in the sector. The persistence of strong credit growth in the economy, especially if it starts to reflect the easing of supply conditions, could support sustained consumption and elevated demand conditions, potentially heightening inflationary pressures.

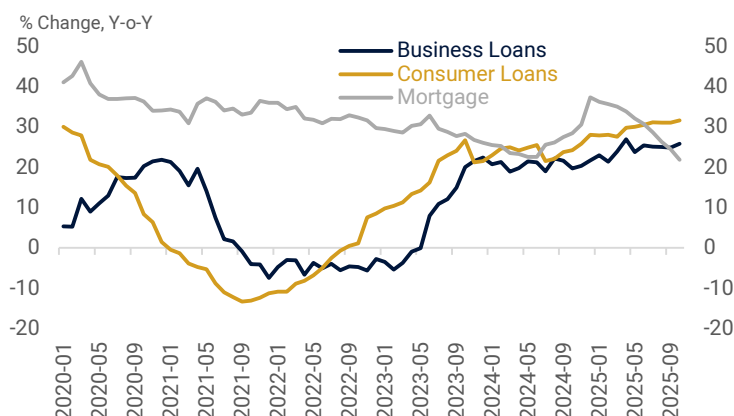
Nominal Exchange Rate

In Q4 2025, nominal exchange rate of the Armenian dram (Figure 3.B.7) has held relatively steady. The relatively stable exchange rate reflects ongoing developments in both the domestic economy and the external environment, with the resulting appreciation and depreciation effects largely balanced. The key medium-term uncertainties include the possibility of sustained growth in exports and trade, weaker imports of consumption goods, as well as stronger external demand for domestic services to generate appreciation pressures. On the other hand, these trends could be offset by sustained uncertainties in the broader Eurasian region as well as the possibility of domestic demand proving to be stronger, driving higher imports and modest depreciation pressures.

Armenia's sovereign risk premium has declined further in recent quarters in tandem with broader improvements across emerging markets as well as country-specific factors (Figure 3.D.6). This decline could reflect a favorable reassessment of risks, supported not only by the easing of overall sentiment toward emerging markets but also by expectations of a cooling in immediate geopolitical risks in the South Caucasus. At the same time, slightly improved expectations of a potential de-escalation in the Russia-Ukraine conflict may have reinforced the improved outlook for the region and supported a more benign external environment. Nevertheless, the persistence of global and regional geopolitical uncertainty, coupled with uncertainty about future US economic policies, continue to present potential sources of volatility and the possibility of renewed upward pressure on Armenia's sovereign risk premium. In this context, several rating agencies note that the ultimate, fundamental adjustments in the country risk premium in response to the above developments would come only after the expected economic implications materialize.

Strong and sustained credit expansion could keep demand conditions and inflationary pressures elevated

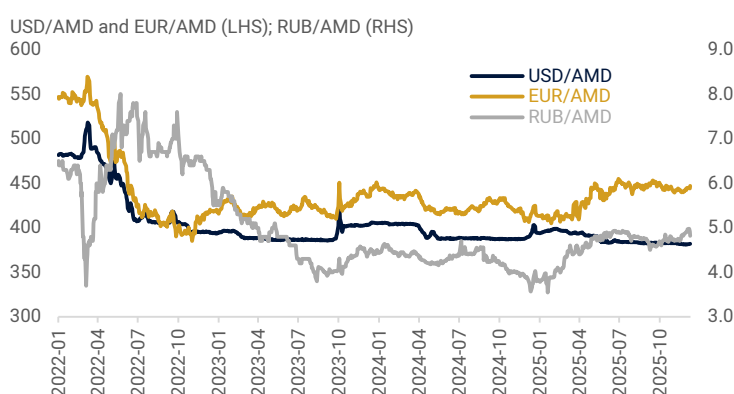
Figure 3.D.4: Change in Total Loans Provided by Commercial Banks to Households and Businesses, Armenia



Source: CBA

Nominal exchange rates impacted by sustained inflows and dollar weakness on the one hand, and strengthening Euro and Ruble on the other

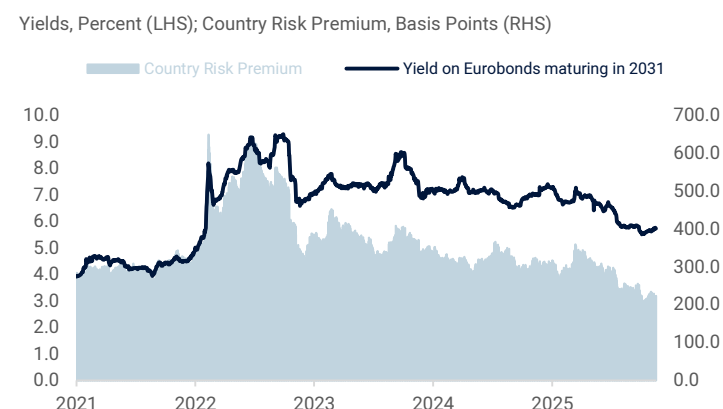
Figure 3.D.5: Nominal Exchange Rate for AMD against USD, EUR and RUB (Lower Value means Stronger Dram)



Source: CBA

While the country risk premium continues to decline, uncertainty regarding its fundamental, sustainable level persists

Figure 3.D.6: Yield on Armenian Eurobonds Maturing in 2031 and Estimated Country Risk Premium



Source: Ministry of Finance, CBA

Box 2. Scenarios-Based Forward Guidance: The Role of Market Expectations

Approaching monetary policy through the lens of risk management under FPAS Mark II requires a different approach to the scenario-building process. Rather than treating its own central projections as the best piece of information and forcing market participants to coalesce around this singular view of unfolding economic conditions, the CBA instead utilizes market expectations for the central bank policy rate as a starting point for policy deliberations. Market expectations, by design, contain significant information about market views on current economic developments and possible behavior of monetary policy in the future economic environment.

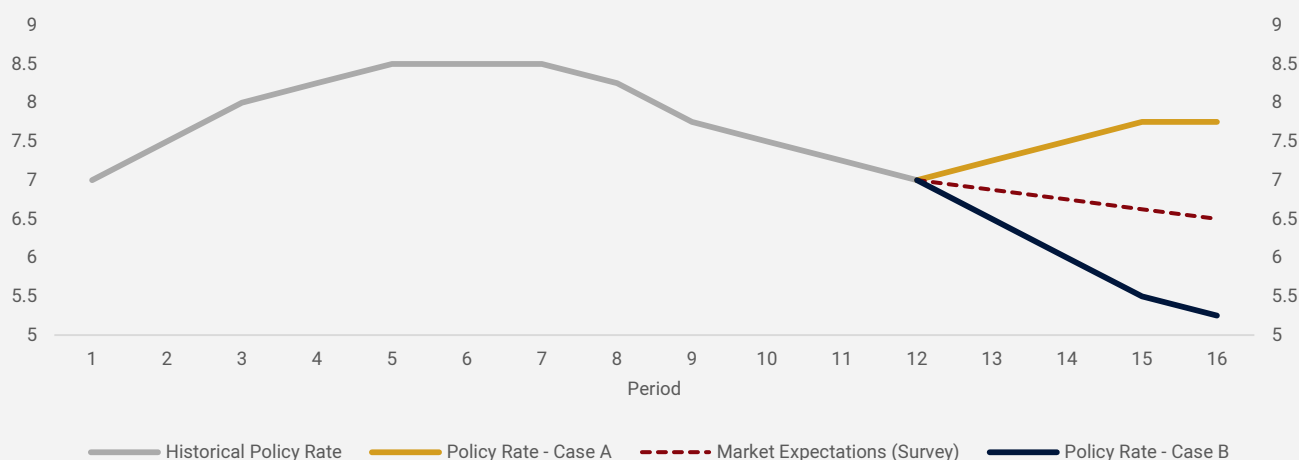
Before the development of flexible-inflation-targeting approaches, monetary policy communication predominantly focused on direct actions like the setting of short-term policy rates. However, short-term rates are not particularly relevant for most people; longer-term interest rates tend to hold greater significance as these are the types of maturities at which households and businesses typically borrow and lend. The two principal components that make up longer-term rates are the term and risk premiums and the expected path of the policy rate. Of these two components, the expected path of the policy rate is most significant. As inflation targeting regimes were adopted, transparency in communicating a central bank's perspective and rationale became a necessary precondition for the regime's efficacy. With greater central bank clarity, financial markets gain the agility to recalibrate efficiently between policy decisions. Importantly, on decision dates, policymakers do not merely set the current policy rate; they also provide insights into their monetary policy decisions, including how the policy rate may change in the future based on different narratives, scenarios, and assumptions.

In advanced economies with well-developed financial markets (including secondary bond markets), gleaning market expectations of the future path of the policy rate is a relatively straightforward task. For countries with less developed financial markets that lack options markets, such as Armenia, the task is less straightforward. It requires synthesizing multiple approaches, without resorting to "over-modeling" and attempting to ascribe a false degree of precision that is based on unreliable or incomplete information.

Market Expectations of the Policy Rate: We synthesize three approaches. First, we take as a starting point information from the spot market for shorter-term bonds (one year and less) and perfect foresight-based inferences about the term structure of the yield curve. We recognize that data from the spot market is imperfect and cannot paint a complete (or always accurate) picture about market expectations of the policy rate. For example, bond markets experience high term premium volatility, face frequent liquidity and other shocks, and so on, making it difficult to perfectly assess which price movements result from changes in expectations versus other factors. Second, considering this issue, we therefore also conduct a quarterly macro survey of financial markets (including commercial banks, institutional investors, asset managers, and others), who provide a macro-consistent projection of inflation, growth, policy rate, and exchange rate over the medium-term horizon, along with accompanying narratives supporting these scenarios. Recognizing that economists' projections may deviate from how financial participants actually behave, we finally dovetail this approach with a high-frequency survey of policy rate expectations among dealers in commercial banks and credit organizations.

Scenarios-Based Forward Guidance: To graphically illustrate our case scenarios relative to market expectations, we rely on the following approach (see the figure below). The grey line represents the CBA's refinancing rate historically. Market expectations are depicted with a red dashed line, representing the market's assessment of the most probable trajectory of the average policy rate over the course of the next 3 years. This provides a reference point around which the illustrative Case A (orange line) and Case B (blue line) scenarios for the policy rate are constructed.

Figure B.3.1: Hypothetical Example of Case Scenarios and Market Expectations under the Prudent Risk Management Framework
Interest Rate, %



Source: CBA

E. Taxonomy of Scenarios

Purpose and Structure of the Taxonomy

The Taxonomy of Scenarios provides a comprehensive, structured assessment of the different types of risks, shocks, and sources of uncertainty that can affect the Armenian economy. It describes their potential impacts on inflation and economic environment in Armenia, as well as loosely illustrates implied monetary policy reactions by the CBA. As a structured summary of the various policy-relevant scenarios considered by the Board of the CBA, the Taxonomy presents the key issues that can impact policy decisions over a medium-term horizon in the context of a least regrets decision-making framework. The evolving Taxonomy of Scenarios is published in each quarterly MPR.

Table E.1: Taxonomy Structure

Case A-Type Considerations	Case B-Type Considerations
Expansionary Demand: Shocks result in aggregate demand rising more than aggregate supply, increasing underlying inflation. This requires an increase in the policy rate path that is sufficiently aggressive to anchor inflation and inflation expectations. Complications: credibility is fragile Output + Inflation +	Contractionary Demand: Shocks result in aggregate demand rising less than aggregate supply, decreasing underlying inflation. This requires a decrease in the policy rate path that is sufficiently aggressive to anchor inflation and inflation expectations. Complications: ELB, stuck in low inflation trap Output - Inflation -
Contractionary Supply: Nasty stagflationary shocks that require an aggressive upward adjustment in the expected path of the policy rate, resulting in a significant short-run tradeoff between inflation and other real objectives (e.g., unemployment) Complications: Hard to hit the wounded economy Output - Inflation +	Expansionary Supply: Favorable supply shock(s) reduce inflation toward the target and results in higher growth as well as lower interest rates; is a policymaker's dream. Complications: can be risky if this environment is extrapolated into the future Output + Inflation -

The taxonomy is classified into those that can have Case A-type (expansionary demand, contractionary supply) and Case B-type (contractionary demand, expansionary supply) considerations. Although the classification of shocks can be done in different ways across different features, the one presented here is based on a typical distinction between supply and demand side forces and is particularly useful from policymakers' point of view as it provides a framework for analyzing the source of inflationary pressures and potential risks to the economy. By understanding the nature and magnitude of different types of shocks, policymakers can then design appropriate monetary policy responses to mitigate the negative impact of adverse shocks and leverage the benefits of positive shocks.

Taxonomy of Scenarios: Q4 2025

Table E.2: Taxonomy of Scenarios: Q4 2025

Case A-Type Considerations Expansionary Demand	Case B-Type Considerations Contractionary Demand
• In the United States, a higher trajectory for deficit and debt levels raises questions about fiscal sustainability and exerts upward pressure on the U.S. neutral interest rate, with potential spillover effects on the neutral rates of developing economies, including Armenia. • Persistent uncertainties around domestic demand conditions, particularly regarding the emergence and potential persistence of excess demand conditions: • Economic growth that is above estimated long-term potential and concentrated in primarily demand-driven sectors could point to excess demand conditions in the Armenian economy. • Sustained growth in consumption driven by accumulated savings, wealth, and credit growth, as well as rising incomes linked to favorable export performance, may further amplify aggregate demand conditions. • Recent increases in tourism flows, as well as sustained strong demand for Armenian goods and especially services, could generate additional demand and inflationary pressures. • The adoption of a more expansionary fiscal stance than previously anticipated present risks of further intensifying domestic demand pressures. • Uncertainty regarding the trajectory of the Russian-Ukrainian conflict, coupled with the tightening sanctions regime against Russia, may further bolster capital inflows into the Armenian economy, thereby amplifying domestic demand and reinforcing inflationary pressures. • Inflationary trends from the global economy, especially for food and basic necessities, could lead to an undesirable increase in inflation expectations in Armenia. • A possible cooling of regional geopolitical tensions could pose risks of accelerating capital inflows, which could contribute to an expansion in demand conditions.	• Subdued domestic demand—arising from structural challenges in the global economy, particularly within the Eurozone and China—may prove persistent, contributing to a prolonged period of low inflation in international commodity and raw material markets. • Prolonged elevated uncertainty surrounding U.S. economic policy could evolve into a broader crisis of confidence, sharply dampening consumer and investment activity both within the United States and across the global economy. • Given risks of weakening U.S. economic activity and labor market conditions, as well as potential overvaluation in financial assets, a potential sharp correction in financial asset prices could generate deflationary pressures both globally and within the Armenian economy. • Persistently low inflation in services and non-traded sticky prices; slowing retail trade and final consumption goods imports; weak wage growth; and the structural characteristics of growth could lead to risks of subdued demand and deflationary conditions forming. • In the context of a gradual, natural adjustment in construction and real estate prices, related sectors of the economy may experience slowing growth, softening demand, and emerging deflationary effects. • In response to the strong external demand observed in recent years, the private sector in the Armenian economy—particularly in certain industries—accumulated substantial credit liabilities amid expectations of sustained high future income. Given risks of a worsening global economic outlook and a possible adjustment in external demand, these liabilities may become an additional constraining factor, potentially leading to a disproportionate tightening of income and expenditure dynamics, especially within the services sector. • The increase in certain tax rates and the tightening of tax administration, as well as a downward adjustment in current and capital expenditures, may exert additional dampening effects on investment activity, potentially contributing to higher unemployment and subdued demand. • A sharp slowdown in demand conditions and real incomes in Russia could significantly curtail tourism flows to Armenia, negatively impacting services growth and generating deflationary pressures. • In the event of a resolution to the Russian-Ukrainian conflict and the full or partial removal of sanctions, a substantial outflow of capital and labor from the Republic of Armenia may occur, posing risks of a marked weakening in aggregate demand and, more notably, a moderation of inflationary pressures. • Uncertainty about neutral rate fundamentals in Armenia: • Growth in productive capacities and productivity in exportable sectors in recent years—in tandem with an improved investment climate, persistent capital flows, and an historical and expected appreciation of the real exchange rate trend—implies a lower level of the neutral rate. • A possible cooling of regional geopolitical tensions could contribute to a reappraisal of country fundamentals, including a lower country risk premium and thus a lower neutral rate.

Case A-Type Considerations Contractionary Supply	Case B-Type Considerations Expansionary Supply
• Amid the tightening of trade policies among major economies and the broader trend of de-globalization, disruptions in global supply chains may lead to higher production costs and a broadening of inflationary pressures in the global economy over the short to medium term. • An accumulation of stagflationary risks in the global economy could result in a higher path for interest rates in advanced economies if inflation expectations there prove to be imperfectly anchored.	• Continuous growth of labor supply in the Armenian economy, resulting from uncertainties about medium-term developments in the Russian economy and, notably, the persistent decline in seasonal migration from Armenia to the Russian Federation amid tightening migration policies in Russia. • A sharper-than-expected slowdown in Russian demand conditions could represent a negative external demand shock for Armenian goods exports, thereby increasing domestic supply in select goods markets and generating broad-based deflationary pressures.

Box 3. Market Reference Scenario

Under the CBA's Prudent Risk Management Framework, the CBA does not prepare baseline projections. Instead, we rely on information from financial market participants (including commercial banks, fund managers, institutional investors, and so on)—compiled through quarterly surveys—to develop a macro-consistent “market reference scenario (MRS).” This MRS, in many ways, serves a similar purpose as a traditional baseline projection, in the sense that it represents the market’s rough estimation of the “most likely future,” given the information available to market participants at a particular point in time. The MRS can serve as a substitute for the baseline for those external stakeholders (e.g. IFIs, fiscal authorities, and others) who rely on exogenously-provided projections when making their own planning decisions. Through the use of the MRS, the CBA provides the opportunity to markets to not only understand third-party forecasts of the “most likely” future, but also pay attention to those types of risks, uncertainties, and scenarios that can pose risks from the perspective of monetary policy and price stability (which are presented in the preceding Taxonomy). At the same time, this provides an opportunity to effectively communicate the logic and rationale behind CBA’s policy decisions under the prudent risk management approach.

Note: The CBA Macro Survey is conducted on a quarterly basis by the CBA. For the purposes of informing the Market Reference Scenario, participants are each asked to provide a macro-consistent scenario, including a qualitative description of the narrative underlying the scenario and associated Case A- and B-type risks, as well as accompanying quantitative 12-quarter-ahead projections for CPI inflation, real GDP growth, the CBA policy rate, and the nominal AMD/USD exchange rate. The Q3 2025 survey was carried out in August 2025.

Figure B.3.1: CPI Inflation

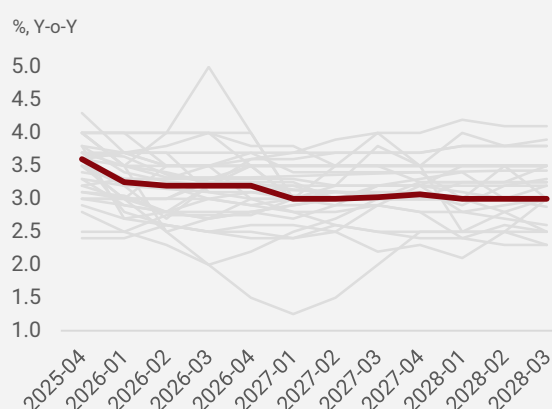


Figure B.3.3: Real GDP Growth Rate

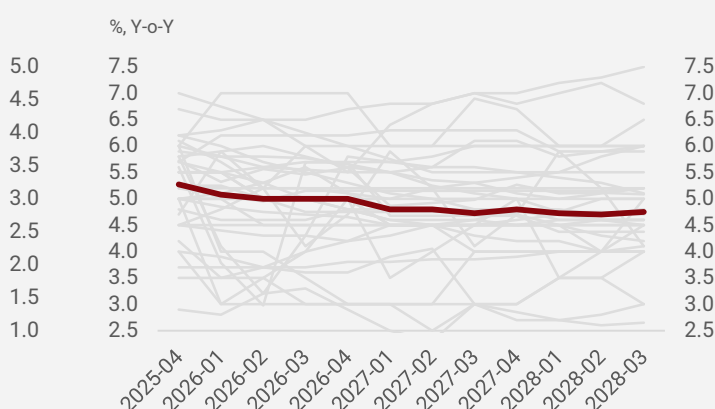


Figure B.3.2: CBA Policy Rate

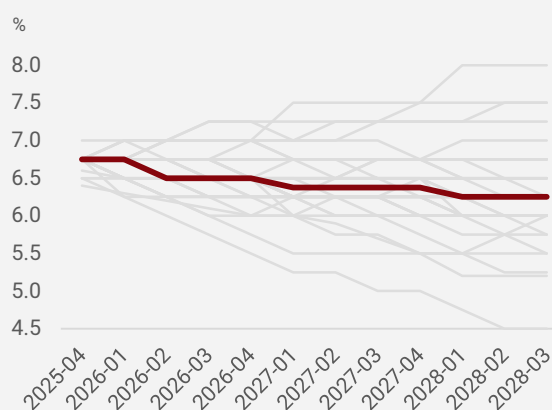
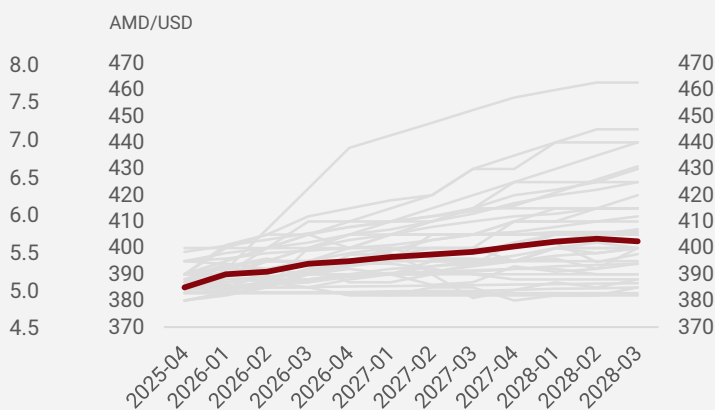


Figure B.3.4: Nominal AMD/USD Exchange Rate



* Note: CBA Macro Survey shown as average of survey responses (line) and individual responses (grey lines).

Table B.3.1: Summary of Third-Party Projections

Source Date	IMF Oct-25	CBA Macro Survey Q4 25	Consensus Dec-25
GDP Growth (Annual Rate, %)			
2024 (Actual)		5.9	
2025	4.8	5.8	5.4
2026	4.9	5.0	4.8
2027	5.5	4.8	4.3
Inflation (Annual Rate, %)			
2024 (Actual)		0.3	
2025	3.3	3.4	3.6
2026	2.8	3.0	4.3
2027	2.9	3.0	3.0

Source: IMF, World Bank, ADB, CBA Macro Survey

F. Monetary Policy Outlook

Case A: Excess demand conditions could require interest rates above market expectations

Economic growth that is above estimated long-term potential and concentrated in primarily demand-driven sectors could point to excess demand conditions in the Armenian economy.

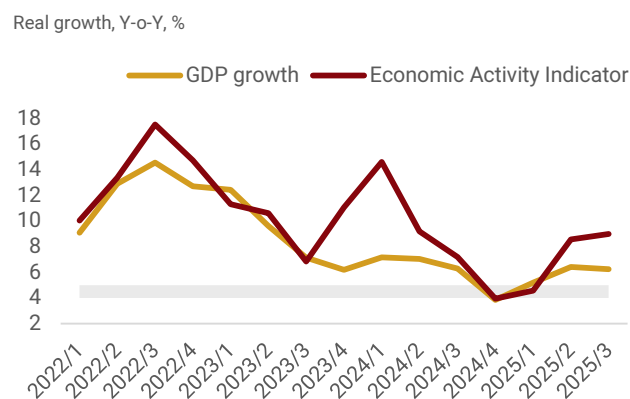
Throughout 2025, economic growth has been high, above most estimates of its long-term potential growth (around 5%). Growth has been driven primarily by demand factors, as reflected in very high growth in construction and services. In this context, demand for residential real estate has increased significantly in recent years, driving strong growth in mortgage loans and construction loans. Moreover, demand for real estate and mortgage lending activity has remained robust even with the phase-out of the interest rate subsidy scheme in Yerevan.¹

The services sector has similarly continued to exhibit very high growth, which has been broad-based across various services sub-sectors. Additionally, services that are sensitive to domestic demand conditions (administrative, professional and business services, real estate-related activity, etc.) have seen an uptick in growth in recent months, which could point to an expansion of domestic demand conditions. In tandem with these developments, high growth in lending activity could further speak to high demand conditions in the economy. Consumer loans have grown at double digits (31.1% Y-o-Y growth in October), which could point to a strong consumption environment. In this context, household final consumption (per the expenditure approach to GDP) has grown at an average annual rate of 10.7% in the first three quarters of the year.

The expansion of demand and high lending activity could reflect excess demand conditions and an existing positive output gap. In this context, an underappraisal of aggregate demand could lead to a further expansion of excess demand conditions in the economy, which in its turn can contribute to an uptick in inflationary pressures and inflation expectations. Thus, if such a scenario were to materialize, the policy rate would need to follow a higher path than current market expectations to manage this risk and prevent inflationary pressures and a possible de-anchoring of inflation expectations from emerging and taking hold.

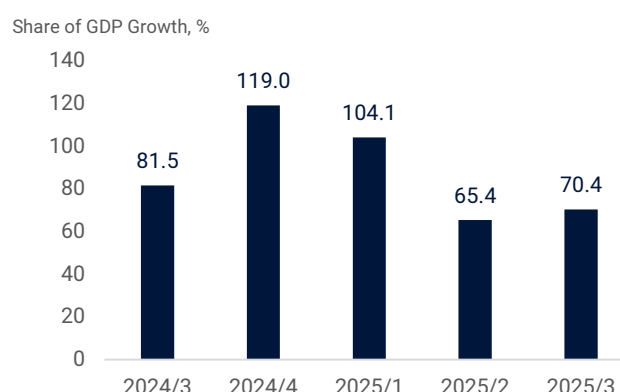
Figure 3.F.1:

Panel A. High economic growth has primarily been driven by demand factors



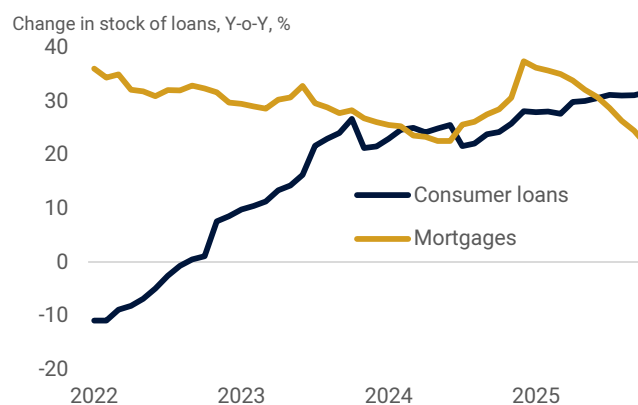
Source: Statistical Committee of the Republic of Armenia, CBA estimates

Panel B. Share of construction and services in GDP growth



Source: Statistical Committee of the Republic of Armenia

Panel C. High lending growth could reflect strong demand



Source: CBA

¹ With the exception of projects that received construction permits before January 1, 2022, the scheme is no longer valid in the city of Yerevan.

Case B: Weakening domestic demand conditions could require interest rates below market expectations

Persistently low inflation in services and non-traded sticky prices; slowing retail trade and final consumption goods imports; weak wage growth; and the structural characteristics of growth could lead to risks of subdued demand and deflationary conditions forming

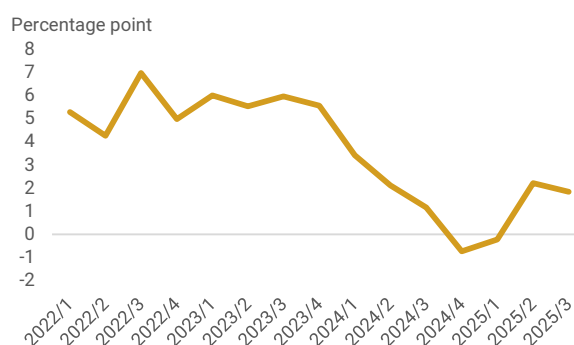
High headline economic growth in 2025 has primarily been driven by construction and services, while the remaining sectors of the economy have contributed very little to economic growth, despite comprising nearly two-thirds of total GDP and nearly three quarters of private payrolls. In this context, the structural characteristics of economic growth and its concentration in a limited number of sectors could be masking weakening demand conditions in the economy. The sustained persistence of these trends could lead to aggregate demand conditions remaining muted, posing risks of deflationary conditions taking hold in the medium term.

At the same time, non-traded sticky price inflation, which chiefly reflects price movements for services highly sensitive to domestic demand conditions, as well as services inflation excluding air transport, have remained at low levels for a lengthy period of time, potentially pointing to already weak demand conditions in the economy. Adding further credence to this argument is the continued slowing in retail trade activity. Similarly, imports of final consumption and capital goods have experienced Y-o-Y declines in recent months, pointing to weak consumption and investment activity. Further, slowing real wage growth (0.6% Y-o-Y in September) provides additional signals about a weak demand environment, while a persistence of these trends could pose risks of further weakening in consumption.

These developments could point to already weak demand conditions and a negative output gap in the economy. The persistence of these trends in the medium term could lead to a deepening of the negative output gap and long-lasting deflationary pressures. Managing this risk would require a lower path for the policy rate relative to market expectations in order to prevent the accumulation of deflationary pressures and a possible downward de-anchoring of inflation expectations.

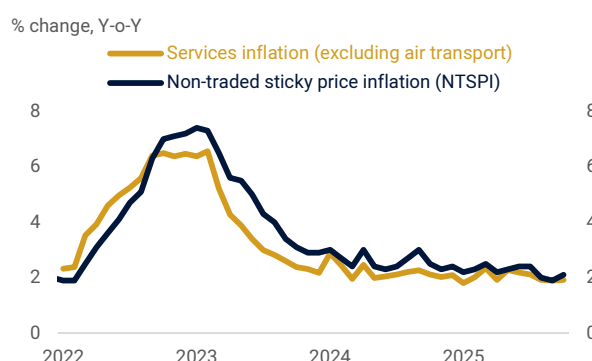
Figure 3.F.2:

Panel A: Other sectors' contribution to GDP growth²



Source: Statistical Committee of the Republic of Armenia

Panel B: Underlying inflation indicators



Source: Statistical Committee of the Republic of Armenia, CBA

Panel C: Retail trade growth



Source: Statistical Committee of the Republic of Armenia

² Excluding construction, IT, financial services, real estate, professional and business services, and administrative

Summary of Illustrative Case A & Case B Macroeconomic Projections

Figure 3.F.3: Endogenous Interest Rate Path, %

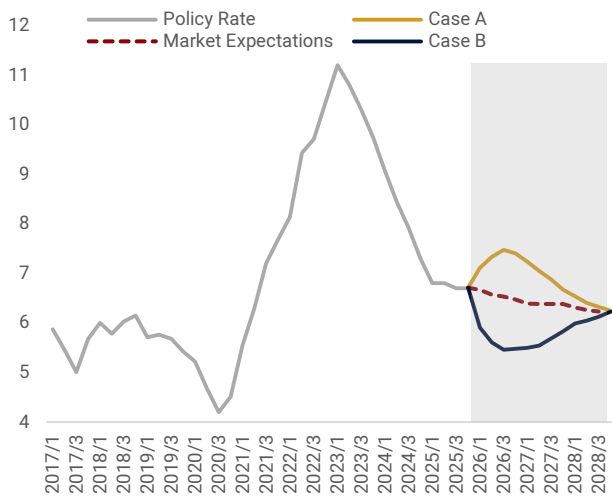


Figure 3.F.6: Non-Traded Sticky Price Inflation, Y-o-Y %

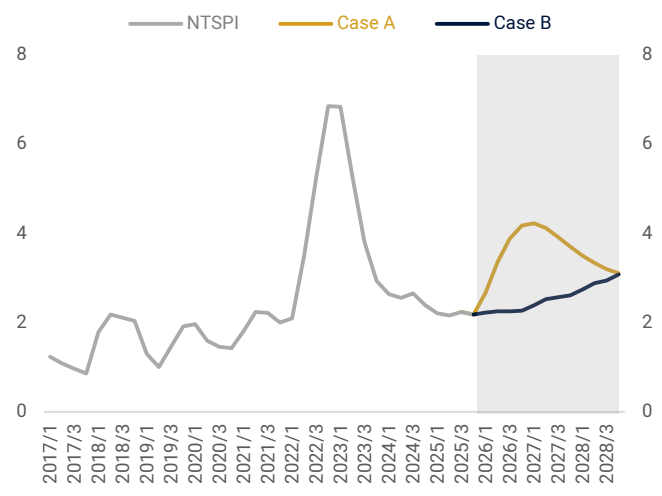


Figure 3.F.4: Real GDP Growth, Y-o-Y %

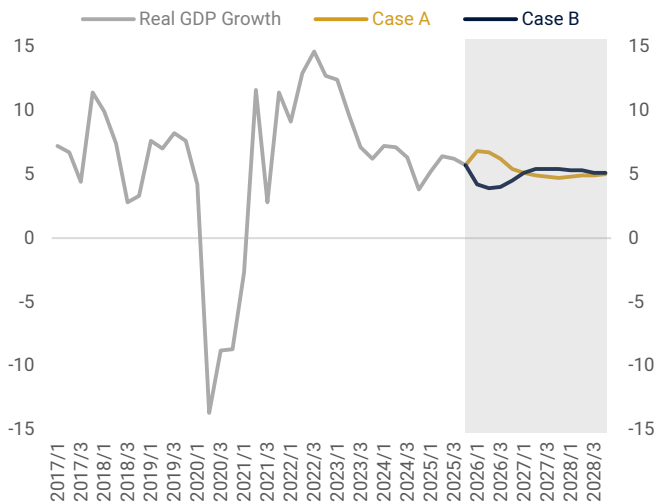


Figure 3.F.7: Output Gap, %

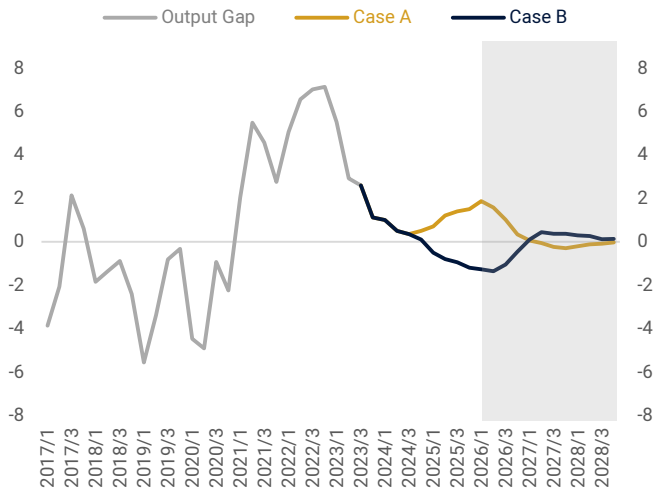


Figure 3.F.5: Headline CPI Inflation, Y-o-Y %

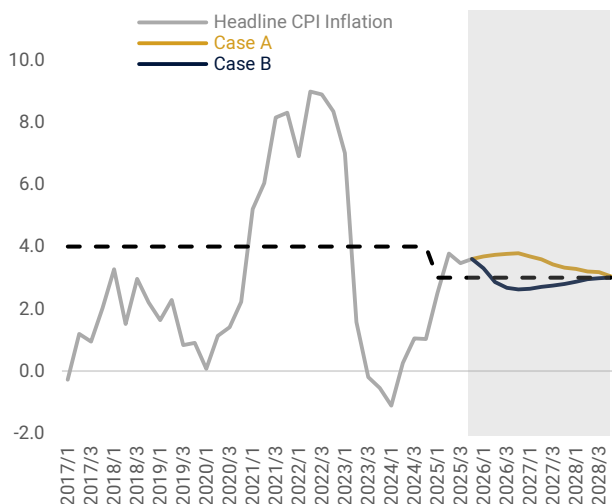


Figure 3.F.8: Real Interest Rate, %

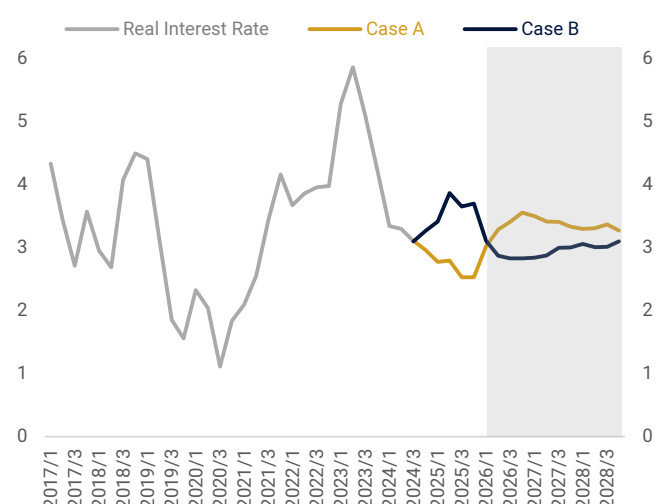


Figure 3.F.9: Nominal Effective Exchange Rate, Index

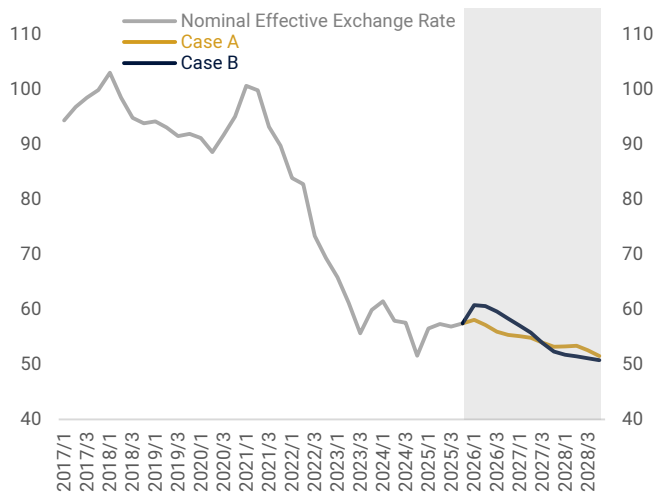


Figure 3.F.11: Model-Based 1-Year Ahead Inflation Expectations, Y-o-Y %

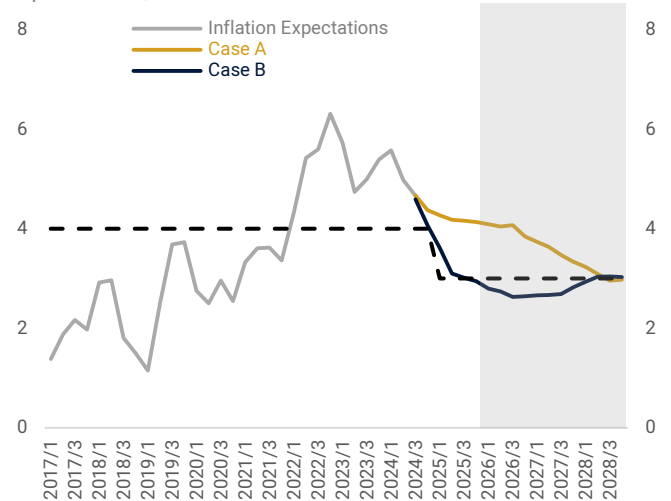


Figure 3.F.10: Real Effective Exchange Rate, Index

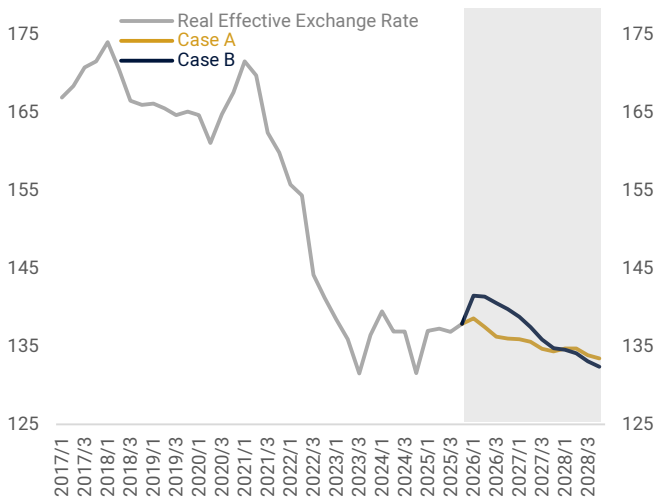


Table 3.F.1: Summary of Illustrative Macroeconomic Projections
Historical Data and Illustrative Case A & B Scenario Projections

		2023	2024	2025		2026		2027		2028	
		Actual	Actual	Case A	Case B	Case A	Case B	Case A	Case B	Case A	Case B
Global Economy											
USA economic growth	real growth, %	2.9	2.8	2.0	2.0	1.8	1.8	1.8	1.8	1.7	1.7
Eurozone economic growth	real growth, %	0.4	0.9	1.2	1.2	0.8	0.8	1.3	1.3	1.2	1.2
Russia economic growth	real growth, %	4.1	4.3	0.5	0.5	0.9	0.9	2.1	2.1	2.1	2.1
USA inflation	average, %	4.1	2.9	2.9	2.9	2.8	2.8	2.4	2.4	2.1	2.1
EU inflation	average, %	5.4	2.4	2.1	2.1	1.9	1.9	2.0	2.0	2.1	2.1
Russia inflation	average, %	5.9	8.4	8.6	8.6	6.1	6.1	5.1	5.1	4.2	4.2
Oil price	dollar/barrel	82.5	80.5	69.4	69.4	63.1	63.1	59.8	59.8	57.2	57.2
Copper price	dollar/mt	8491	9142	9698	9698	10634	10634	10915	10915	11347	11347
FAO food price index	index	124.5	122.0	128.3	128.3	131.3	131.3	135.4	135.4	138.5	138.5
Domestic Economy											
Inflation											
Inflation	Y-o-Y, %, EOP	-0.6	1.5	3.6	3.6	3.8	2.6	3.3	2.8	3.0	3.0
CPI inflation	Y-o-Y, %, avg.	2.0	0.3	3.3	3.3	3.7	2.9	3.5	2.7	3.1	3.0
Non-traded sticky price inflation	Y-o-Y, %, avg.	4.7	2.6	2.2	2.2	3.5	2.2	4.0	2.5	3.0	3.0
Gross Income											
GDP	billion dram	9492.5	10193.4	11183.4	11183.4	12304.1	11956.3	13332.9	12942.5	14405.8	14024
GDP	real growth, %	8.3	5.9	5.9	5.9	6.3	4.1	4.9	5.3	4.9	5.1

Table continued on the following page.

Historical Data and Illustrative Case A & B Scenario Projections (continued from previous page)

		2023	2024	2025		2026		2027		2028	
		Actual	Actual	Case A	Case B	Case A	Case B	Case A	Case B	Case A	Case B
Demand											
Consumption	real growth, %	6.8	4.3	6.3	5.8	5.4	4.9	4.6	4.8	4.8	4.9
Public consumption	real growth, %	10.2	-9.5	9.6	9.6	4.1	4.1	1.1	1.1	2.5	2.5
Private consumption	real growth, %	6.2	6.7	5.7	5.1	5.6	5.0	5.2	5.4	5.2	5.3
Gross accum. of fixed assets*	real growth, %	8.5	11.2	15.8	15.4	6.4	2.9	6.5	8	7.5	7.4
Public investment**	real growth, %	25.7	11.8	21.9	21.9	-1.1	-1.1	4.4	4.4	6.1	6.1
Gross accumulation of private fixed assets	real growth, %	2.6	11.0	13.2	12.7	9.8	4.7	7.4	9.4	8.0	7.9
Export of goods and services	real growth, %	30.7	-11.0	-37.3	-36.1	4.5	3.4	3.9	4.1	3.8	3.8
Import of goods and services	real growth, %	30.2	-3.2	-32.7	-32.5	3.1	3.1	4.2	3.8	4.8	5.3
Current Account											
Balance of trade	million USD	-2427.9	-2195.0	-2856.3	-2775.3	-3431.1	-2983.4	-3437.6	-3305.3	-3678.4	-3606.5
Balance of services	million USD	2084.4	1463.3	1565.8	1565.8	1831.8	1831.8	1941.8	1941.8	2058.3	2058.3
Money transfers	million USD	1012.8	803.6	900.1	900.1	986.5	986.5	1033.8	1033.8	1083.4	1083.4
Current account	million USD	-670.0	-1194.5	-1381.6	-1300.6	-1604.0	-1156.3	-1463.2	-1330.9	-1542.8	-1471.0
Balance of trade	share of GDP, %	-10.1	-8.4	-9.9	-9.6	-11.5	-9.7	-10.6	-10.1	-10.4	-10.3
Balance of services	share of GDP, %	8.6	5.6	5.4	5.4	6.1	5.9	6.0	5.9	5.8	5.9
Money transfers	share of GDP, %	4.2	3.1	3.1	3.1	3.3	3.2	3.2	3.2	3.1	3.1
Current account	share of GDP, %	-2.8	-4.6	-4.8	-4.5	-5.4	-3.7	-4.5	-4.1	-4.4	-4.2
Public sector***											
Revenues and grants	billion dram	2410.7	2579.2	2832.8	2832.8	3091	3091	3352.4	3352.4	3638	3638
Tax revenue	billion dram	2273.9	2390.9	2690.4	2690.4	2972.9	2972.9	3244.9	3244.9	3533.9	3533.9
Expenditures	billion dram	2599.6	2955.3	3432.6	3432.6	3628.5	3628.5	3801.5	3801.5	4031.4	4031.4
Deficit	billion dram	-188.9	-376.1	-599.8	-599.8	-537.5	-537.5	-449.1	-449.1	-393.4	-393.4
Revenues and grants	share of GDP, %	25.4	25.3	25.3	25.3	25.1	25.9	25.1	25.9	25.3	25.9
Tax revenue	share of GDP, %	24	23.5	24.1	24.1	24.2	24.9	24.3	25.1	24.5	25.2
Expenditures	share of GDP, %	27.4	29	30.7	30.7	29.5	30.3	28.5	29.4	28.0	28.7
Deficit	share of GDP, %	-2	-3.7	-5.4	-5.4	-4.4	-4.5	-3.4	-3.5	-2.7	-2.8

* The Central Bank only presents the indicator of gross fixed asset accumulation instead of gross accumulation, since the change in tangible working capital

